SUPERIOR COURT OF CALIFORNIA, CONTRA COSTA COUNTY
MARTINEZ, CA
DEPARTMENT 34
JUDICIAL OFFICER: LEONARD E MARQUEZ
HEARING DATE: 03/30/2026

INSTRUCTIONS FOR CONTESTING TENTATIVE RULING IN DEPARTMENT 34

The tentative ruling will become the ruling of the Court unless by 4:00PM of the Court day preceding the hearing, notice is given of an intent to argue the matter. Counsel or self-represented parties must email Department 34 (Dept34@contracosta.courts.ca.gov) to request argument and must specify, in detail, what provision(s) of the tentative ruling they intend to argue and why. Counsel or self-represented parties requesting argument must advise all other counsel and self-represented parties by no later than 4:00PM of their decision to argue, and of the issues to be argued. Failure to timely advise the Court and counsel or self-represented parties will preclude any party from arguing the matter. (Pursuant to Local Rule 3.43(2).)

ALL APPEARANCES TO ARGUE WILL BE IN PERSON OR BY ZOOM, PROVIDED THAT PROPER NOTIFICATION IS RECEIVED BY THE DEPARTMENT AS PER ABOVE.

Zoom link-

https://contracosta-courts-ca.zoomgov.com/j/1611085023?pwd=SUxPTEFLVzRFYXZycWdTWlJCdlhIdz09

Meeting ID: 161 108 5023
Passcode: 869677

Law & Motion

1. 9:00 AM CASE NUMBER: C24-01160
CASE NAME: DENEA MARHX VS. INTERNATIONAL CHURCH OF THE FOURSQUARE GOSPEL
***HEARING ON MOTION IN RE: TERMINATING SANCTIONS**
FILED BY:
****TENTATIVE RULING:****

Plaintiff Denea Marhx ("Plaintiff") filed a Motion for 1) Terminating Sanction, or 2) Issue Sanction, and 3) Monetary Sanction on September 10, 2025 (the "Motion for Sanctions"). The Motion for Sanctions was set for hearing on January 26, 2026. The motion was duly served. The motion is opposed.

Motion for Sanctions was granted in part by the Court's Order entered January 27, 2026 (the "January 27th Order"). The Court made certain orders for further discovery compliance as set forth in the January 27th Order. See January 27th Order, Attachment, pp. 2-3. The matter was continued for further hearing on March 30, 2026.

Background

The Court summarized the background in its January 27th Order. See January 27th Order.

Analysis

As addressed in the January 27th Order, the Court has already found that defendant International Church of the Foursquare Gospel ("International Church") failed to timely comply with the Court's prior orders issued by the Court compelling International Church to provide further responses to certain discovery propounded by Plaintiff. See Order dated August 4, 2025 (the "August 4th Order").

Among other things, International Church was ordered to comply with the Court's August 4th Order on or before Monday, February 23, 2026. See January 27th Order, Attachment, p. 2, ¶1. It was also ordered to pay monetary sanctions to Plaintiff in the sum of $6,430.00 (the "Monetary Sanctions") within thirty (30) calendar days of notice of entry of the Court's order. *Id*. at ¶1.c.

The Court set a further briefing schedule to monitor compliance. Those deadlines were as follows:

a. If any further amended responses to the subject discovery are made by International Church, either party may lodge them with the Court no later than **March 2, 2026**.

b. Plaintiff may file a supplemental brief and/or declaration regarding any further compliance efforts by International Church or lack thereof. These papers shall be filed and served no later than **March 9, 2026**.

c. International Church may file a final supplemental brief which shall be filed and served no later than **March 19, 2026**. No further evidence shall be proffered in connection with this final supplemental brief.

See January 27th Order, Attachment, p. 3, ¶¶2a-2c.

Plaintiff filed a Supplemental Brief on March 9, 2026 (the "Supplemental Brief"). The Supplemental Brief was accompanied by the supplemental Declaration of David A. Peck. See Declaration of David A. Peck filed March 9, 2026 ("Peck Supp. Decl.").

That declaration described and attached meet and confer communications. See Peck Supp. Decl., ¶4 *et seq*. and **Exhibits B and C** thereto. It also attached copies of certain further discovery responses by International Church. See *id*. at **Exhibits D and E**.

The August 4th Order required the following "further verified or amended responses" to certain sets of discovery requests:

Defendant International Church of the Foursquare Gospel shall serve further verified or amended responses to (1.) Plaintiff's Special Interrogatories, Set One; (2.) Plaintiff's Form Interrogatories-General, Set One; and (3.) Plaintiff's Request for Production, Set One no later than August 26, 2025. Defendant shall also serve all responsive documents no later than August 26, 2025.

As set forth in the original supporting declaration, despite being propounded in September 2024, International Church had failed to provide verified substantive responses to these discovery requests (only serving unverified responses consisting primarily of objections). See Declaration of David A. Peck filed September 10, 2025 ("Peck Moving Decl.") ¶3 *et seq*.

The Court's August 4th Order required the "further verified or amended responses" to these sets of discovery to be served no later than August 26, 2025. The Court also imposed monetary sanctions in the amount of $9,685 to be paid to Plaintiff within 30 days of the filing of the order. The Order as filed on August 4, 2025, which would have made the payment due on or before September 3, 2025.

Neither of those things happened by those deadlines. Peck Moving Decl., ¶10.

As discussed at length above, after this follow up Motion for Sanctions was filed by Plaintiff, the Court made the further order for International Church to comply with the August 4th Order on or before Monday, February 23, 2026.

International Church served verified responses to these discovery requests on January 23, 2026. See Declaration of Dominique N. Thomas filed January 23, 2026 ("Thomas Decl."), ¶3 and **Exhibit B** thereto. Those amended responses were verified. *Id*. It should be noted that these verified amended responses were served on the Friday (1/23) before the last hearing date (1/26) that gave rise to the January 27th Order.

A number of the responses contained brief and generalized statements and many of the responses were largely devoid of substantive responses. *Id*.

While the verified amended responses might well have been subject to further scrutiny by way of a motion to compel further responses, the pending motion is not such a motion.

This is a motion for terminating and other further sanctions premised on non-compliance with the August 4th Order discovery order. At this stage, that compliance has been achieved. The August 4th Order and January 27th Order were satisfied by the provision of these verified amended responses to the Set One discovery requests.

The $9,685 monetary sanctions have also been paid (along with $7,920 in monetary sanction relating to another prior sanctions order relating to the Set Two discovery requests). Thomas Decl., ¶4 and **Exhibit C**.

Accordingly, the Court finds sufficient compliance with its prior discovery orders at this stage and no basis to impose any escalated remedies such as terminating or other further sanctions.

Payment of Last Monetary Sanctions Award

The foregoing, however, does not end the inquiry.

The final item for compliance under the January 27th Order is payment of the court ordered further monetary sanctions in the amount of $6,430. See January 27th Order, Attachment, p. 3, ¶1c.

Plaintiff's most recent declaration says nothing about whether that amount was paid or not. See Peck Supp. Decl., ¶¶1-8.

There being no showing of non-compliance regarding this sanctions order and in light of the payment of the prior substantial discovery sanctions, the Court does not conclude that any further remedies are warranted at this time. Of course, International Church is admonished to promptly pay $6,430 in monetary sanctions if it has not already done so.

<u>Disposition</u>

The Court further finds and orders as follows:

1. Any further relief sought by the Motion for Sanctions is DENIED.
2. The Court shall issue the order after hearing.

2. 9:00 AM CASE NUMBER: C24-01189
CASE NAME: M. B. VS. ANGELA STOCKARD
HEARING ON DEMURRER TO: 3RD AMENDED COMPLAINT
FILED BY: STOCKARD, ANGELA
TENTATIVE RULING:*

Defendant Angela Stockard ("Defendant") brings this demurrer to the third amended complaint ("TAC") of plaintiff M.B., a minor ("M.B."), through her guardian ad litem Rocio B., and Rocio B. ("Rocio," together with M.B., "Plaintiffs"). Defendant challenges Plaintiffs' fourth cause of action for negligent infliction of emotional distress and fifth cause of action for intentional infliction of emotional distress. For the reasons discussed below, the Court's tentative ruling is to sustain Defendant's demurrer as to the fourth cause of action for negligent infliction of emotional distress and the fifth cause of action for intentional infliction of emotional distress.

Meet and Confer

The meet and confer requirement has been satisfied. (Michael Della Maggiore Decl., ¶ 7; Code Civ. Proc., § 430.41, subd. (a)(3)(B).)

Legal Standard for Demurrer

In ruling on a demurrer, a court must treat as true all properly pleaded material facts contained in the complaint, but not contentions, deductions or conclusions of fact or law. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) "We also accept as true facts which may be inferred from those expressly alleged." (*Cundiff v. GTE Cal., Inc*. (2002) 101 Cal.App.4th 1395, 1405.) A demurrer challenges "the sufficiency of the allegations in a complaint as a matter of law," not the truth of the factual allegations in the pleading or the pleader's ability to prove those allegations. (*Id.* at pp. 1404-1405.)

Questions of fact cannot be decided on demurrer. (*Berryman v. Merit Prop. Mgmt., Inc*. (2007) 152 Cal.App.4th 1544, 1556.) Because a demurrer tests only the sufficiency of the complaint, a "court will not consider facts which have not been alleged in the complaint unless they may be reasonably inferred from the matters which have been pled or are proper subjects of judicial notice." (*Hall v. Great W. Bank* (1991) 231 Cal.App.3d 713, 718, fn.7.) "[A]t the demurrer stage the complaint must be construed in the light most favorable to the plaintiff." (*Wilson v. Houston Funeral Home* (1996) 42 Cal.App.4th 1124, 1138.)

"Liberality in permitting amendment is the rule, if a fair opportunity to correct any defect has not been given." (*Angie M. v. Superior Court* (1995) 37 Cal.App.4th 1217, 1227.) "However, leave to amend should not be granted where, in all probability, amendment would be futile." (*Foroudi v. The Aerospace Corp.* (2020) 57 Cal.App.5th 992, 1000 [citations and internal quotes omitted].)

Background

Plaintiffs filed the original Complaint in this matter on May 2, 2024, and the First Amended Complaint on October 7. 2024. Plaintiffs filed the Second Amended Complaint on March 24, 2025.

Plaintiffs filed the instant TAC on September 10, 2025. The TAC alleges five causes of action arising from incidents of sexual assault and harassment of Plaintiff M.B. by student, G.G., at J.O. Ford Elementary and Helms Middle School in Richmond and San Pablo, respectively, within the area of West Contra Costa School Unified District [WCCSD]. Plaintiffs contend that Defendant withheld knowledge of the incidents from M.B.'s mother, Rocio B., and failed to adequately protect M.B. from G.G., even after being informed of incidents of assault.

This Court sustained Defendant's demurrer to the Second Amended Complaint on August 11, 2025, ruling: "Plaintiff Rocio B.'s allegations do not include detail sufficient to demonstrate that facts supporting the ruling in Phyllis P. are present in this case. Specifics with respect to the context and intent of 'mistake' and with respect to reporting and disclosing of the prior assaults is needed to support the elements of the emotional distress claims of Rocio B. at the pleading stage."

Discussion

Negligent Infliction of Emotional Distress

"Negligent infliction of emotional distress is a form of the tort of negligence, to which the elements of duty, breach of duty, causation and damages apply." (*Huggins v. Longs Drug Stores California, Inc.* (1993) 6 Cal.4th 124, 129.)

Defendant argues that California does not recognize a separate cause of action for negligent infliction of emotional distress (NIED). (Demurrer MPA, p. 4:5-11.) The Court will not entertain this argument as it could have been made previously but was not. "A party demurring to a pleading that has been amended after a demurrer to an earlier version of the pleading was sustained shall not demur to any portion of the amended complaint, cross-complaint, or answer on grounds that could have been raised by demurrer to the earlier version of the complaint, cross-complaint, or answer." (Code Civ. Proc., § 430.41, subd. (b).)

Defendant argues that this case is distinguishable from *Phyllis P. v Sup. Ct.* (1986) 183 Cal.App.3d 1193, on which Rocio relies to support this claim. (Demurrer MPA, p. 4:12-26.) Defendant points out that in this case the allegations are that Defendant informed Rocio of the sexual assault of M.B. the day after the incident, which is distinguishable from *Phyllis*, where the school officials made a decision to not inform the parent of the sexual assault. (Compare TAC, ¶ 16 ["they also withheld that information from ROCIO B. not informing her of the April 18, 2023 incident until the evening of April 19, 2023, and this was by mistake."] with *Phyllis P. v. Superior Court* (1986) 183 Cal.App.3d 1193, 1195 ["together they decided not to notify petitioner of the incidents."].)

Rocio argues that in *Phyllis*, the school officials "were deliberately usurping the parental prerogative to protect the child." (Opposition, p. 3:1-2.) Rocio then proceeds to assert "The TAC alleges that Defendant Stockard, along with the other defendants, engaged in precisely this conduct and cites to paragraphs 9, 14, and 65. (*Id*., at 3:3-17.)

However, the difference here is that Rocio learned of the sexual assault the very next day and the school officials even "suggested to Rocio B. that she come up with a plan on how to proceed." (TAC, ¶¶ 15-16.) This is not usurping Rocio's parental prerogative, but explicitly giving it importance. This goes towards breach, as the duty is to notify the parents of the sexual assault and that is alleged to have happened here. (*Phyllis P. v. Superior Court* (1986) 183 Cal.App.3d 1193, 1196 ["defendants had a duty to notify petitioner upon learning of the first series of sexual assaults upon Ciera."].) Here, it is alleged that Defendant informed Rocio the very next day, which distinguishes the case here from *Phyllis*. (TAC, ¶ 16.) Although Rocio alleges that the disclosure here was done by mistake, there are insufficient facts alleged in the TAC regarding that to determine how that fact is material and changes the result here. This is a similar shortcoming that the Court identified with respect to this issue in the Second Amended Complaint.

Defendant argues that Rocio has not pleaded duty or breach. (Demurrer MPA, p. 5:8-11.) The Court finds that Rocio has properly pled duty but not breach. Defendant's demurrer to Plaintiffs' fourth cause of action for negligent infliction of emotional distress is SUSTAINED.

<u>Intentional Infliction of Emotional Distress</u>

"In order to state a cause of action for intentional infliction of emotional distress a plaintiff must show: (1) outrageous conduct by the defendant; (2) the defendant's intention of causing or reckless disregard of the probability of causing emotional distress; (3) the plaintiff's suffering severe or extreme emotional distress; and (4) actual and proximate causation of the emotional distress by the defendant's outrageous conduct." (*Trerice v. Blue Cross of Cal*. (1989) 209 Cal.App.3d 878, 883.)

Defendant argues that Rocio has not stated a claim for intentional infliction of emotional distress because she fails to allege extreme and outrageous conduct. (Demurrer MPA, pp. 5:21-6:20; Reply, p. 3:12-24.) Defendant also argues that Rocio Fails to adequately allege that Defendant acted intentionally, or with reckless disregard, to cause emotional distress, and that the TAC shows no causal link between the emotional distress and the alleged concealment of notice of the assault. (*Id*. at p.p. 6:21-8:8.)

Plaintiff argues that Defendant "characterizes this as merely a 'one-day delay' in reporting, but this mischaracterizes the allegations. The TAC alleges that when Rocio B. was ultimately notified on April 19, 2023, it was by accident. (TAC ¶ 73.) This means that but for the accidental disclosure, Defendants intended to continue concealing the assault indefinitely." (Opposition, pp. 5:28-6:3.)

The Court does not find that an accidental disclosure is a sufficient basis to conclude that absent the accidental disclosure there was an intent to forever withhold this information. As stated above, the Court requires more factual information about how the information was provided to Rocio by mistake or accident and how that makes the one-day delay into something more serious. Plaintiffs allege that Defendant "directed, orchestrated, or allowed a cover-up of the sexual assault of M.B. to occur, failing to investigate it and failing to notify M.B.'s mother of the sexual assault of her daughter." However, Plaintiffs also allege that M.B. was assaulted on April 18, 2023, and that this was reported to Rocio on the evening of April 19, 2023. The allegations of a cover up and failing to notify M.B.'s mother conflict with the allegations that Rocio was informed of the sexual assault the day after it occurred. "Where a pleading includes a general allegation, such as an allegation of an ultimate fact, as well as specific allegations that adds *details* or *explanatory facts*, it is possible that a conflict or inconsistency will exist between the general allegation and the specific allegations. To handle these contradictions, California courts have adopted the principle that specific allegations in a complaint control over an inconsistent general allegation." (*Perez v. Golden Empire Transit District* (2012) 209 Cal.App.4th 1228, 1235-1236, italics added.) Here, under the facts pled, Plaintiffs do not plead extreme or outrageous conduct on the part of Defendant.

With respect to the argument that there is no causal link between the emotional distress and the alleged concealment of notice of the assault, the Court is more concerned about there being no concealment of the April 18, 2023 assault, based on the facts alleged. Regarding the "previous attacks by this same student" that M.B. did not learn of until September 2023, there is not enough facts alleged about these to determine whether they are sufficient to have triggered a duty to inform M.B. earlier.

Defendant's demurrer to Plaintiffs' fifth cause of action for intentional infliction of emotional distress is SUSTAINED.

Ruling on the Demurrer

Defendant's demurrer as to the fourth cause of action for negligent infliction of emotional distress and the fifth cause of action for intentional infliction of emotional distress is SUSTAINED. The Court is inclined to provide Plaintiffs one final chance to amend. Plaintiffs may file and serve an amended complaint within 10 days of notice of entry of this order. (Code Civ. Proc. § 472b; CRC, Rule 3.1320(g).)

3. 9:00 AM CASE NUMBER: C24-01189
CASE NAME: M. B. VS. ANGELA STOCKARD
HEARING ON DEMURRER TO: 3RD AMENDED COMPLAINT
FILED BY: RIDENOUR, REBECCA
TENTATIVE RULING:

Defendants West Contra Costa Unified School District ("District"), Rebecca Ridenour ("Ridenour"), and Vranda Booker ("Booker," with District and Ridenour, "Defendants") brings the instant demurrer to the third amended complaint ("TAC") of plaintiff M.B., a minor ("M.B."), through her guardian ad litem Rocio B., and Rocio B. ("Rocio," together with M.B., "Plaintiffs"). Defendants challenge Plaintiffs' second cause of action for negligent training and supervision, fourth cause of action for negligent infliction of emotional distress, and fifth cause of action for intentional infliction of emotional distress. For the reasons discussed below, the Court's tentative ruling is to sustain Defendant's demurrer as to the second cause of action for negligent hiring, supervision or retention, the fourth cause of action for negligent infliction of emotional distress and the fifth cause of action for intentional infliction of emotional distress.

Meet and Confer

The meet and confer requirement has been satisfied. (Kellie M. Murphy Decl., ¶¶ 3-5; Code Civ. Proc., § 430.41, subd. (a)(3)(A).)

Legal Standard for Demurrer

In ruling on a demurrer, a court must treat as true all properly pleaded material facts contained in the complaint, but not contentions, deductions or conclusions of fact or law. (*Blank v. Kirwan* (1985) 39

Cal.3d 311, 318.) "We also accept as true facts which may be inferred from those expressly alleged." (*Cundiff v. GTE Cal., Inc*. (2002) 101 Cal.App.4th 1395, 1405.) A demurrer challenges "the sufficiency of the allegations in a complaint as a matter of law," not the truth of the factual allegations in the pleading or the pleader's ability to prove those allegations. (*Id.* at pp. 1404-1405.)

Questions of fact cannot be decided on demurrer. (*Berryman v. Merit Prop. Mgmt., Inc*. (2007) 152 Cal.App.4th 1544, 1556.) Because a demurrer tests only the sufficiency of the complaint, a "court will not consider facts which have not been alleged in the complaint unless they may be reasonably inferred from the matters which have been pled or are proper subjects of judicial notice." (*Hall v. Great W. Bank* (1991) 231 Cal.App.3d 713, 718, fn.7.) "[A]t the demurrer stage the complaint must be construed in the light most favorable to the plaintiff." (*Wilson v. Houston Funeral Home* (1996) 42 Cal.App.4th 1124, 1138.)

"Liberality in permitting amendment is the rule, if a fair opportunity to correct any defect has not been given." (*Angie M. v. Superior Court* (1995) 37 Cal.App.4th 1217, 1227.) "However, leave to amend should not be granted where, in all probability, amendment would be futile." (*Foroudi v. The Aerospace Corp.* (2020) 57 Cal.App.5th 992, 1000 [citations and internal quotes omitted].)

Background

Plaintiffs filed the original Complaint in this matter on May 2, 2024, and the First Amended Complaint on October 7. 2024. Plaintiffs filed the Second Amended Complaint on March 24, 2025.

Plaintiffs filed the instant TAC on September 10, 2025. The TAC alleges five causes of action arising from incidents of sexual assault and harassment of Plaintiff M.B. by student, G.G., at J.O. Ford Elementary and Helms Middle School in Richmond and San Pablo, respectively, within the area of West Contra Costa School Unified District [WCCSD]. Plaintiffs contend that Defendants withheld knowledge of the incidents from M.B.'s mother, Rocio B., and failed to adequately protect M.B. from G.G., even after being informed of incidents of assault.

This Court sustained Defendants' demurrer to the Second Amended Complaint on August 11, 2025, ruling: "Plaintiff Rocio B.'s allegations do not include detail sufficient to demonstrate that facts supporting the ruling in Phyllis P. are present in this case. Specifics with respect to the context and intent of 'mistake' and with respect to reporting and disclosing of the prior assaults is needed to support the elements of the emotional distress claims of Rocio B. at the pleading stage."

Discussion

Negligent Hiring, Supervision, or Retention

To prevail on a cause of action for negligent hiring, supervision or retention, a plaintiff must prove the following: (1) Defendant hired, supervised or retained **an employee**; (2) the employee was or became unfit or incompetent to perform the work for which the employee was hired; (3) Defendant knew or should have known that the employee was or became unfit or incompetent to work, and that this unfitness or incompetence created a particular risk to others; (4) the employee's unfitness or incompetence harmed Plaintiff; and (5) Defendant's negligence in hiring/supervising/retaining the employee was a substantial factor causing Plaintiff's harm. (CACI 426, emphasis added; *Jackson v. AEG*

Live, LLC (2015) 233 Cal.App.4th 1156, 1186.)

Defendants argue that Plaintiffs still fail to allege sufficient facts to state a cause of action for negligent hiring, supervision, or retention and that the new allegations at paragraphs 44, 46, and 47, are "conclusions, not facts . . ." (Demurrer MPA, pp. 4-7.) On Reply, Defendants focus on arguments that Plaintiffs failed to plead facts to show any District employee was unfit or incompetent, or that the District knew or should have known of such unfitness prior to M.B.'s alleged injury. (Reply, p. 1:16-19.) Plaintiffs cite to paragraphs 14, 16, 21, and 23, as supporting the element that the District knew or should have known that the employee was or became unfit or incompetent to work, and that this unfitness or incompetence created a particular risk to others, portraying this as the District having notice of prior misconduct and failing to take corrective action. (Opposition, pp. 4:24-5:6.) However, these paragraphs do not allege knowledge by the District of any employee shortcomings, only knowledge of G.G.'s actions and propensities. For example, paragraph 14 of the TAC alleges that G.G. harassed and assaulted M.B. and provides details of that, then goes on to allege that campus staff were informed of this behavior. Paragraph 16 alleges that after the April 18th incident, Defendants did not properly ensure M.B.'s safety and withheld information from Rocio, including "prior assaults" for which no additional facts are alleged. Paragraph 21 alleges that at least one other student was sexually assaulted by G.G. and that the District and its agents and employees knew about this fact. Paragraph 23 alleges that the District was notified on numerous occasions of the abuse from G.G., and failed to take any action to open a Title IX Complaint or report assaults to authorities or protect M.B. None of these allegations satisfy the third element for this claim, that Defendant knew or should have known that the employee was or became unfit or incompetent to work, and that this unfitness or incompetence created a particular risk to others.

Regarding employee's being unfit, the Court finds that paragraph 47's allegations that Ridenour and Booker were unfit because they lacked knowledge of the District's "Board Policies and Regulations regarding Title IX Sexual Harassment and Uniform Complaint Procedures (UCP), including but not limited to knowledge of the policies and regulation and what each employee, administrator, and faculty's roles and responsibilities where thereunder," sufficient for pleading purposes.

However, the failure of Plaintiffs to plead knowledge by the District of any employee shortcomings requires the Court to SUSTAIN Defendants' demurrer to Plaintiffs' second cause of action for negligent hiring, supervision or retention.

<u>Negligent Infliction of Emotional Distress</u>

"Negligent infliction of emotional distress is a form of the tort of negligence, to which the elements of duty, breach of duty, causation and damages apply." (*Huggins v. Longs Drug Stores California, Inc.* (1993) 6 Cal.4th 124, 129.)

Defendants argue that California does not recognize a separate cause of action for negligent infliction of emotional distress ("NIED"). (Demurrer MPA, p. 5:15-20.) Defendants cite *Potter v. Firestone Tire & Rubber Co*. (1993) 6 Cal.4th 965, 984-985, and *Burgess v. Superior Court* (1992) 2 Cal.4th 1064, 1072, for the proposition that NIED is not an independent tort. (*Ibid*.) The Court finds that just because NIED is not an independent tort does not mean that it cannot be separately pleaded as a distinct claim, as seeking damages for emotional distress based on negligence has its own unique elements to be pled and proven and serves the proper function of putting the other side on notice as to what Plaintiffs are seeking.

Defendants argue that Plaintiffs' NIED claim is barred due to Government Code section 815, but they cite no case holding that Government Code section 815 bars NIED claims. (Demurrer MPA, p. 7:15-8:5.) The Court notes that the 2024 California Supreme Court case *Downey v. City of Riverside* (2024) 16 Cal.5th 539, involved an NIED claim against the City of Riverside, and the Court reversed the court of appeal for dismissing the claim on a technicality involving the elements of NIED. (*Id.*, at p. 561.) This argument is unavailing.

Defendants next argue that Plaintiffs have failed to amend this claim as per the instructions of this Court in the order sustaining Defendants' demurrer to the second amended complaint. (Demurrer MPA, p. 8:6-9:3.) Plaintiffs assert that the TAC now provides those specifics and that the allegations in the TAC are sufficient to state a cause of action for NIED under *Phyllis P. v Sup. Ct.* (1986) 183 Cal.App.3d 1193. (Opposition, p. 5:25-7:14.)

However, in *Phyllis P. v Sup. Ct.* (1986) 183 Cal.App.3d 1193, on which Plaintiffs rely to support this claim, the school officials made a decision to not inform the parent of the sexual assault, whereas here Defendants informed Rocio of the sexual assault of M.B. the day after the incident, which is distinguishable. (Compare TAC, ¶ 16 ["they also withheld that information from ROCIO B. not informing her of the April 18, 2023 incident until the evening of April 19, 2023, and this was by mistake."] with *Phyllis P. v. Superior Court* (1986) 183 Cal.App.3d 1193, 1195 ["together they decided not to notify petitioner of the incidents."].)

In *Phyllis*, the school officials "were deliberately usurping the parental prerogative to protect the child." (Opposition, p. 6:5.) Here, however, Rocio learned of the sexual assault the very next day and the school officials even "suggested that Rocio B that she come up with a plan on how to proceed." (TAC, ¶¶ 15-16.) This is not usurping Rocio's parental prerogative but explicitly giving it importance. This goes towards breach, as the duty is to notify the parents of the sexual assault and that is alleged to have happened here. (*Phyllis P. v. Superior Court* (1986) 183 Cal.App.3d 1193, 1196 ["defendants had a duty to notify petitioner upon learning of the first series of sexual assaults upon Ciera."].) Here, it is alleged that Defendants informed Rocio the very next day, which distinguishes the case here from *Phyllis*. (TAC, ¶ 16.) Although Rocio alleges that the disclosure here was made by mistake, there are insufficient facts alleged in the TAC regarding that to determine whether that fact is material and changes the result here. Defendants' demurrer to Plaintiffs' fourth cause of action for negligent infliction of emotional distress is SUSTAINED.

<u>Intentional Infliction of Emotional Distress</u>

"In order to state a cause of action for intentional infliction of emotional distress a plaintiff must show: (1) outrageous conduct by the defendant; (2) the defendant's intention of causing or reckless disregard of the probability of causing emotional distress; (3) the plaintiff's suffering severe or extreme emotional distress; and (4) actual and proximate causation of the emotional distress by the defendant's outrageous conduct." (*Trerice v. Blue Cross of Cal*. (1989) 209 Cal.App.3d 878, 883.)

Defendants argue that Plaintiffs have not stated a claim for intentional infliction of emotional distress because they fail to allege extreme and outrageous conduct. (Demurrer MPA, pp. 9:18-10:3; Reply, p. 6:1-21.) Defendants also argue that Plaintiffs fail to adequately allege that Defendants acted intentionally, or with reckless disregard, to cause emotional distress, and that the TAC shows no causal link between the emotional distress and the alleged concealment of notice of the assault. (Demurrer MPA, pp. 10:19-11:13; Reply, pp. 6:22-8:6.)

Plaintiff argues that the "TAC alleges intentional concealment and a pattern of cover-up that satisfies *Phyllis P*," and cites to paragraphs 7, 8, 16, 19, 73, 74, for the proposition that these "allegations establish the usurpation of parental prerogative identified in *Phyllis P*. . ." (Opposition, p. 6:10-27.)

As stated above, here, in contrast to Phyllis P., Defendants informed Rocio the day after the incident and sought her input on how to proceed, which does not show a cover-up or usurpation of parental prerogative. (TAC, ¶¶ 15-16.) Further, the Court does not believe that an accidental disclosure is a sufficient basis to conclude that absent the accidental disclosure there was an intent to forever withhold this information. The Court desires more factual information about how the information was provided to Rocio by mistake or accident and how that makes the one-day delay into something more serious. Plaintiffs allege that Defendant "directed, orchestrated, or allowed a cover-up of the sexual assault of M.B. to occur, failing to investigate it and failing to notify M.B.'s mother of the sexual assault of her daughter." However, Plaintiffs also allege that M.B. was assaulted on April 18, 2023, and that this was reported to Rocio on the evening of April 19, 2023. The allegations of a cover up and failing to notify M.B.'s mother conflict with the allegations that Rocio was informed of the sexual assault the day after it occurred. "Where a pleading includes a general allegation, such as an allegation of an ultimate fact, as well as specific allegations that adds *details* or *explanatory facts*, it is possible that a conflict or inconsistency will exist between the general allegation and the specific allegations. To handle these contradictions, California courts have adopted the principle that specific allegations in a complaint control over an inconsistent general allegation." (*Perez v. Golden Empire Transit District* (2012) 209 Cal.App.4th 1228, 1235-1236, italics added.) Here, under the facts pled, Plaintiffs do not plead extreme or outrageous conduct on the part of Defendants.

With respect to the argument that there is no causal link between the emotional distress and the alleged concealment of notice of the assault, the Court is more concerned about there being no concealment of the April 18, 2023 assault, based on the facts alleged. Regarding the "previous attacks by this same student" that M.B. did not learn of until September 2023, there are not enough facts alleged about these to determine whether they are sufficient to have triggered a duty to inform M.B. earlier.

Defendant's demurrer to Plaintiffs' fifth cause of action for intentional infliction of emotional distress is SUSTAINED.

Ruling on the Demurrer

Defendants' demurrer as to the second cause of action for negligent hiring, supervision or retention, the fourth cause of action for negligent infliction of emotional distress, and the fifth cause of action for intentional infliction of emotional distress is SUSTAINED. The Court is inclined to provide Plaintiffs one final chance to amend these claims. Plaintiffs may file and serve an amended complaint within 10 days of notice of entry of this order. (CCP, §472b; CRC, rule 3.1320(g).)

4. 9:00 AM CASE NUMBER: C24-01669
CASE NAME: DIEGO RIVEROS VS. CHRISTOPHER MARCONI
***HEARING ON MOTION IN RE: FOR RELIEF FROM DEFAULT FILED BY CHRISTOPHER MARCONI**
FILED BY:
<u>*TENTATIVE RULING:*</u>

Before the Court is Defendant Christopher Marconi's Motion for Relief from Default.

Defendant's motion is **DENIED** for the reasons set forth below.

<u>Background Procedure</u>

Plaintiff Diego Riveros, acting in pro per at the time, filed the complaint in this matter on July 1, 2024. It alleges a single cause of action for breach of contract against Defendant Christopher Marconi. On August 28, 2024, Plaintiff filed a Proof of Service of Summons indicating Defendant Marconi was personally served with the Summons and Complaint on August 6, 2024, at 1:45 p.m. at 3341 Power Inn Road, Sacramento, California. The Proof of Service indicates service was effectuated by a California registered process server.

Over ten months later, on June 18, 2025, Plaintiff sought and was granted a default against Defendant Marconi. Defendant Marconi filed the instant motion for relief from default on July 11, 2025. The hearing was originally set for October 27, 2025. On that date, the Court continued the hearing until December 22, 2025. On December 5, 2025, the Court granted the parties' stipulation to continue the hearing to March 30, 2026 – a date following the hearing on Defendant's counsel's motion to be relieved as counsel. The Court notes the Defendant's counsel's motion to be relieved as counsel was granted on March 23, 2026.

<u>Legal Standard</u>

Defendant moves to set aside the default judgment pursuant to California Code of Civil Procedure section 473 (b). Code of Civil Procedure 473(b) provides, in relevant part:

> The court may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect. Application for this relief shall be accompanied by a copy of the answer or other pleading proposed to be filed therein, otherwise the application shall not be granted, and shall be made within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken.

When moving to set aside a default under Code of Civil Procedure section 473(b), the moving party has the burden of proof. (*In re Marriage of Kieturakis* (2006) 138 Cal.App.4th 56, 88.) However, section 473 is often applied liberally when a party in default moves promptly to seek relief and the party opposing the motion will not suffer prejudice if relief is granted. (*Elston v. City of Turlock* (1985) 38 Cal.3d 227, 233.) "In such situations, 'very slight evidence will be required to justify a court in setting aside the default.'" (*Ibid. quoting Bailey v. Taaffe* (1866) 29 Cal.423, 424.)

"Unless inexcusable neglect is clear, the policy favoring trial on the merits prevails." (*Minick v. City of Petaluma* (2016) 3 Cal.App.5th 15, 24, quoting *Elston v. City of Turlock* (1985) 38 Cal.3d 227, 235 [emphasis added].) “Moreover, because the law strongly favors trial and disposition on the merits, any doubts in applying section 473 must be resolved in favor of the party seeking relief from default.” (*Ibid.*)

<u>Analysis</u>

As noted above, Plaintiff filed a Proof of Service on August 28, 2024, signed by a registered California process server, indicating that Mr. Marconi was personally served on August 6, 2024. The “filing of a proof of service creates a rebuttable presumption that service was proper.” (*Hearn v. Howard* (2009) 177 Cal.App.4th 1193, 1205 quoting *Dill v. Berquist Construction Co.* (1994) 24 Cal.App.4th 1426, 1441.) “The return of a registered process server ‘establishes a presumption, *affecting the burden of producing evidence,* of the facts stated in the return.” (*Fernandes v. Singh* (2017) 16 Cal.App.5th 932, 940 quoting Evid. Code § 647, italics in original.)

Along with his moving papers, Mr. Marconi provides a declaration wherein he indicates that he has been legally blind since approximately 2013. (Marconi Decl. ¶ 2.) He declares that while it is “entirely possible that on the subject date and time [he] was at the location noted in the proof of service, [he] absolutely and categorically den[ies] having ever been given, provided, or served with any papers or documents regarding this lawsuit.” (Marconi Decl. ¶ 3.) He affirms that if he had been served, he would have timely responded. (*Ibid.*)

Mr. Marconi instead insists that the first time he heard of this lawsuit was when he received the notice of default in the mail on June 19, 2025. At that time, he promptly retained counsel who filed the instant motion to set aside.

Plaintiff argues in opposition that “Defendant’s bare assertion that he was not served is insufficient to overcome this presumption.”

Palm Property Investments, LLC v. Yadegar (2011) 194 Cal.App.4th 1419 is instructive. There, a three-day notice to quit was served by a registered process server. In their verified answer, defendants denied that they had been served with the three-day notice.

The court found that under Evidence Code section 647, “the proof of service ‘establishes a presumption, affecting the burden of producing evidence, of the facts stated in the return.’” (*Id.* at 1428.) “As explained in Evidence Code section 604, ‘[t]he effect of a presumption affecting the burden of producing evidence is to require the trier of fact to assume the existence of the presumed fact unless and until evidence is introduced which would support a finding of its nonexistence, in which case the trier of fact shall determine the existence or nonexistence of the presumed fact from the evidence and without regard to the presumption.’” (*Ibid.* quoting Cal. Evid. Code § 604.)

Based on the above, the *Palm Property* court found that the defendants “were required to come forth with evidence – beyond their answer – in order to overcome the presumption.” (*Ibid.*) Defendants “offered no evidence to show that they were not properly served and instead relied upon their answer….” (*Ibid.*)

Defendant Marconi’s declaration indicating that he was not served with the summons and complaint is similar to a verified answer indicating the same. It does not provide any *evidence* beyond the mere assertion by the defendant to support his statement.

Defendant failed to proffer any further corroborating evidence to rebut the presumption of service and show that he was not properly served.

Conclusion

Defendant's Motion for Relief from Default is **DENIED**.

5. 9:00 AM CASE NUMBER: C24-01921
CASE NAME: A-S PIPELINES INC., A CALIFORNIA CORPORATION VS. DAVID SEENO
***HEARING ON MOTION IN RE: SEAL PORTIONS OF EXHIBITS IN SUPPORT OF DEFENDANTS' MOTION FOR SUMMARY JUDGMENT**
FILED BY: SEENO, ALBERT D., JR.
****TENTATIVE RULING:****

Defendant Albert D. Seeno, Jr. and related entities ("Defendants") filed a Motion to Seal on November 17, 2025 (the "Motion to Seal"). The Motion to Seal was set for hearing on March 30, 2026. The motion is unopposed.

Background

This motion seeks to seal portions of the "Portions of Appendix of Exhibits in Support of Defendants' Motion for Summary Judgment (the "Portions to be Sealed"). The subject pleading was filed on November 17, 2025 with the Portions to be Sealed redacted from the public filing.

The Court has already heard and decided the underlying motion to which the pleading relates. It does not appear that the Court ruled on the Motion to Seal as past of that ruling. See Order entered February 5, 2026. See Minute Order dated February 19, 2026 (regarding February 9, 2026 hearing on Motion for Summary Judgment).

Analysis

Under the California Rules of Court, "[u]nless confidentiality is required by law, court records are presumed to be open." Rule 2.550(c) of the California Rules of Court ("CRC"). Public access to civil proceedings serves to (i) demonstrate that justice is meted out fairly, thereby promoting public confidence in such governmental proceedings; (ii) provide a means by which citizens scrutinize and check the use and possible abuse of judicial power; and (iii) enhance the truthfinding function of the proceeding. *NBC Subsidiary (KNBC-TV), Inc. v. Superior Court* (1999) 20 Cal.4th 1178, 1219.

CRC Rule 2.551(a) provides:

> A record must not be filed under seal without a court order. The court must not permit a record to be filed under seal based solely on the agreement or stipulation of the parties.

See CRC Rule 2.551(a).

A court may order that a record be filed under seal only if it expressly finds facts that establish:

> (1) There exists an overriding interest that overcomes the right of public access to the record;
>
> (2) The overriding interest supports sealing the record;
>
> (3) A substantial probability exists that the overriding interest will be prejudiced if the record is

not sealed;

(4) The proposed sealing is narrowly tailored; and

(5) No less restrictive means exist to achieve the overriding interest.

See CRC Rule 2.550(d)(1)-(5).

The law favors maximum public access to judicial proceedings and court records. *Alfaro v. Superior Court* (2020) 58 Cal.App.5th 371, 386, quoting *Pantos v. City and County of San Francisco* (1984) 151 Cal.App.3d 258, 262-63. "Judicial records are historically and presumptively open to the public and there is an important right of access which should not be closed except for **compelling** countervailing reasons." *Id*. (emphasis added).

The supporting declaration describes that the moving parties only seek to seal certain very specific portions of the subject pleadings. See Declaration of Pat Lundvall, ¶¶3-5.

The unredacted versions of both pleadings were lodged for the Court's review. The redacted materials are represented to include confidential information that presents a risk of serious personal or other injury to the parties to this action and other third parties if disclosed publicly. *Id*. at ¶3. The Portions to be Sealed appear narrowly tailored.

Accordingly, the Court finds that there exists an overriding interest that overcomes the right of public access to the specific Portions to be Sealed. The Court further finds that this overriding interest supports sealing the Portions to be Sealed and there exists a substantial probability that the overriding interest will be prejudiced if the Portions to be Sealed are not sealed. Subject to resolution of the issue discussed below, the Court further finds that the Portions to be Sealed are narrowly tailored and that there is no less restrictive means exist to achieve the overriding interest.

Disposition

The Court finds and orders as follows:

1. The Motion to Seal is GRANTED. The Court orders the sealing of Portions to be Sealed that were filed provisionally under seal.
2. The Court shall issue the order after hearing.

6. 9:00 AM CASE NUMBER: C24-02652
CASE NAME: AMERICAN EXPRESS NATIONAL BANK VS. MOHAMMED AZAM
***HEARING ON MOTION IN RE: VACATE THE CONDITIONAL DISMISSAL AND ENTRY OF JUDGMENT CCP 664.6**
FILED BY: AMERICAN EXPRESS NATIONAL BANK
****TENTATIVE RULING:****

Plaintiff American Express National Bank ("Plaintiff") filed a Motion to Vacate the Conditional Dismissal and for Entry of Judgment on January 13, 2026 ("Motion to Enforce Settlement"). The Motion to Enforce Settlement was set for hearing on March 30, 2025. The motion is unopposed.

Background

The parties entered into that certain settlement agreement filed November 22, 2024 (the "Settlement Agreement"), the terms of which included payment by the defendants MOHAMMED AZAM A/K/A MOHAMMED E AZAM and LOTUS ORGANIC LLC ("Defendants") in the amount of $73,707.02, to be paid in accordance with the terms thereof (the “Payment Terms and Conditions”). See Declaration of Scott D. Dyle filed January 13, 2026 (“Supporting Declaration”), ¶¶3-5 and **Exhibit A** (Settlement Agreement) thereto.

As part of the Settlement Agreement, the parties entered into a stipulation for entry of judgment in the event of a default. Settlement Agreement, ¶¶5 and 12-13, Supporting Declaration, **Exhibit A**.

Defendants defaulted on the Payment Terms and Conditions. See Supporting Declaration, ¶7. Defendant failed to cure after notice. *Id*. at ¶¶8-9 and **Exhibit B** thereto.

After credit for amounts paid, there remains $68,707.02 due and owing, plus costs of $655.00. See Supporting Declaration, ¶10.

<u>Analysis</u>

Defendants were duly served with the motion. The motion is unopposed.

The Settlement Agreement includes a provision that it is enforceable pursuant to Code of Civil Procedure section 664.6 and jurisdiction was reserved by the Court for that purpose. Settlement Agreement, ¶13 and Order thereon, Supporting Declaration, **Exhibit A**.

<u>Disposition</u>

The Court finds and orders as follows:

1. The Court finds that Defendants were duly served with the motion.
2. The Court finds that Defendants are in default of the Settlement Agreement.
3. The Motion to Enforce Settlement is GRANTED. Plaintiff shall have judgment against Defendants in the principal amount of $68,707.02 plus costs of $655.00, for a total judgment of $69,362.02.
4. Plaintiff’s submitted form of order and/or money judgment against Defendants will be entered by the Court. Any prior dismissal entered herein as to the Defendants is hereby set aside in connection with entry of such judgment.
5.

7. 9:00 AM CASE NUMBER: C24-03520
CASE NAME: MARNA PAINTSIL ANNING VS. WILDWOOD AT VILLAGE PARK OWNERS' ASSOCIATION
***HEARING ON MOTION IN RE: REASONABLE ATTORNEYS' FEES AND COSTS**
FILED BY: WILDWOOD AT VILLAGE PARK OWNERS' ASSOCIATION
<u>*TENTATIVE RULING:*</u>

Defendant Wildwood at Village Park Owners’ Association (“Defendant”) filed a Motion for Reasonable Attorneys’ Fees and Costs on November 14, 2025 (the “Motion for Fees and Costs”). The Motion for Fees and Costs was set for hearing on March 30, 2025. The motion is opposed.

<u>Background</u>

Following the sustaining of Defendant’s demurrer to Plaintiff Marna Paintsil Anning’s (“Plaintiff”) Complaint without leave to amend, the Court entered judgment in favor of Defendant and found Defendant to be the prevailing party. See Judgment for Dismissal after Demurrer Sustained Without Leave to Amend entered September 19, 2025 (the "Judgment").

The Judgment provided, among other things, that "Defendant may recover its reasonable attorneys' fees and costs, in an amount to be determined upon noticed motion and cost bill." *Id*.

The Motion for Fees and Costs is supported by the Declaration of Melina Rezaei filed November 14, 2025 (the "Supporting Declaration").

The Supporting Declaration includes a summary of the legal services rendered and expenses incurred in the litigation of the matter. See Supporting Declaration, ¶¶7-9 and **Exhibit A** thereto. The fees sought total **$43,703.00**. See *id*. at ¶9 and **Exhibit A** thereto. The costs sought total **$1,070.58**. See *id*. at ¶10 and **Exhibit A** thereto.

<u>Analysis</u>

Plaintiff filed an Opposition to the Motion for Fees and Costs. Essentially, the Opposition argues that the issue of an award of attorneys' fees and costs is embraced within the scope of a pending appeal and the trial court cannot rule on this motion pending the resolution of the appeal. See Opposition, p. 4 *et seq*.

As addressed in Defendant's reply, an appeal of a judgment does not prevent the trial court from ruling on a motion for an award of attorneys' fees. *Robertson v. Rodriguez* (1995) 36 Cal.App.4th 347, 360 (trial court properly concluded it had jurisdiction to proceed because the trial court retains jurisdiction to entertain a motion for attorney fees despite an appeal).

The Opposition does not otherwise take issue with any of the specific billings or costs claimed. Nonetheless, the Court has reviewed the claimed attorneys' fees and costs.

Having reviewed all of the claimed attorneys' fees and the description of the work to which the claimed fees related (see Supporting Declaration, **Exhibit A**), the Court finds all of the claimed fees reasonable except as to the following: (a) certain excess or vague time reflected in billings for internal office management and communication (see e.g. 02/09/2025 time entry for time including "[c]onfer with management regarding case status") and (b) excess time reflecting billings for file review; and (c) excess time reflecting billings for reporting to insurer (see e.g. 05/27/2025 time entry). The trial court has broad authority to determine the amount of a reasonable fee. *Holguin v. Dish Network LLC* (2014) 229 Cal.App.4th 1310, 1329.

The Court finds, in the exercise of its discretion, that a total reduction of attorneys' fees down to **$42,000.00** is just and reasonable. The Court finds that such amount for legal services rendered was reasonable given the nature and scope of the issues in the case and the litigation that occurred up to the entry of the Judgment. See Supporting Declaration, **Exhibit A**.

<u>Disposition</u>

The Court finds and orders as follows:

1. The Motion for Fees and Costs is GRANTED.
2. The Court will issue the order after hearing.

8. 9:00 AM CASE NUMBER: C25-00144
CASE NAME: YONGCHAN PARK VS. MICHAEL YANG
***HEARING ON MOTION IN RE: TO AMEND PLEADINGS TO ADD DEFENDANT EUNSOOK YANG - ADV. TO 3/30/26 PER STIP & ORDER SUMBITTED 3/2/26**
FILED BY: YANG, MICHAEL
TENTATIVE RULING:*

Before the Court is Defendant Michael Yang and Minhe, Inc. (collectively, "Defendants")'s "Motion to Amend Pleadings to add Defendant Eunsook Yang." The Motion is opposed by Plaintiff Yongchan Park and Plaintiff Jihoon You (collectively, "Plaintiffs").

The procedural vehicle by which Defendants bring their motion is unclear. The Defendants' Notice does not identify a California Rule of Court or Civil Procedure. The Memorandum of Points and Authorities references Code of Civil Procedure section 473(a), which governs the amendment of pleadings.

For the following reasons, the Motion is **DENIED**.

Analysis

This case is an appeal of the Labor Commissioner's ruling in WC-CM-761270, WC-CM-76127, and WC-CM-762296 pursuant to Labor Code section 98.2(a) by Defendants. (Labor Code § 98.2 ["[P]arties may seek review by filing an appeal to the superior court, where the appeal shall be heard de novo"].)

When an employer fails to pay wages owed to an employee, the employee may either: (1) file an original civil action directly in court, or (2) seek administrative relief with the Labor Commissioner under the Berman statutes. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 121 (*OTO*); see also *ZB, N.A. v. Superior Court* (2019) 8 Cal.5th 175, 186.) If the employee elects the latter, the Labor Commissioner may accept the matter and conduct a Berman hearing, prosecute a civil action for collection of wages, or take no further action on the complaint. (Labor Code § 98, subd. (a); *Murphy v. Kenneth Cole Productions, Inc.* (2007) 40 Cal.4th 1094, 1115 (*Murphy*).) Before conducting the hearing or pursuing a civil action, the commissioner's staff may attempt to settle the claims informally or through a conference between the parties. (*Sonic-Calabasas A, Inc. v. Moreno* (2013) 57 Cal.4th 1109, 1128 (*Sonic*).)

If the Labor Commissioner decides to accept the matter and conduct a hearing, the hearing must be conducted within 90 days and a decision rendered within 15 days thereafter. (*Sonic*, *supra*, 57 Cal.4th at p. 1128.) The Berman hearing procedure is designed to provide a speedy, informal, and affordable method of resolving wage claims. (*Ibid*.) The hearing officer is authorized to assist the parties in cross-examining witnesses and to explain issues and terms not understood by the parties. (*Ibid*.) The hearings are not governed by the technical rules of evidence, and any relevant evidence is admitted if it is the sort of evidence on which responsible persons are accustomed to rely in the conduct of serious affairs. (*Ibid*.) After a judgment is entered, the Labor Commissioner is charged with the responsibility of enforcing the judgment and making reasonable efforts to have it satisfied. (*Id*. at pp. 1128–1129.)

Once the Labor Commissioner has issued a decision after a Berman hearing, either party may "appeal" the decision to the superior court, which reviews the claim de novo. (Labor Code § 98.2, subd. (a).) Although denoted as an "appeal," the trial de novo "is neither a conventional appeal nor review of the Labor Commissioner's decision, but is rather a de novo trial of the wage dispute." (*Murphy*, *supra*, 40 Cal.4th at p. 1116.) The superior court has discretion to permit the employee to assert additional related wage claims beyond those asserted before the Labor Commissioner. (*Id*. at pp. 1116–1120.) "The decision of the commissioner is 'entitled to no weight whatsoever, and the proceedings are truly "a trial anew in the fullest sense."'" (*Post v. Palo/Haklar & Associates* (2000) 23 Cal.4th 942, 948.)

The de novo proceeding in the superior court is initiated by filing an "appeal" and paying a first paper filing fee. (Lab. Code, § 98.2, subd. (a); see Gov. Code, § 70611.) Thus begins a civil "action" that culminates in "'a full new trial in the superior court according to the rules and procedures applicable.'" (*Sales Dimensions v. Superior Court* (1979) 90 Cal.App.3d 757, 762, quoting *Buchwald v. Katz* (1972) 8 Cal.3d 493, 502.) The superior court "'hears the matter, not as an appellate court, but as a court of original jurisdiction, with full power to hear and determine it as if it had never been before the labor commissioner.'" (*Murphy*, *supra*, 40 Cal.4th at pp. 1116–1117.) In fact, "the appeal of the commissioner's decision to the superior court … nullifies the decision, and the superior court conducts a new trial of the wage dispute." (*Arias v. Kardoulias* (2012) 207 Cal.App.4th 1429, 1435.)

Such a de novo proceeding in superior court falls within the definition of an "action" or "civil action." (See Code Civ. Proc., § 22 [defining "action" as "an ordinary proceeding in a court of justice by which one party prosecutes another for the declaration, enforcement, or protection of a right, the redress or prevention of a wrong, or the punishment of a public offense"]; *id*., § 30 [defining "civil action" as one "prosecuted by one party against another for the declaration, enforcement or protection of a right, or the redress or prevention of a wrong"].)

Defendants argue that "[t]he 'appeal by a DLSE defendant is functionally equivalent to a Superior Court 'Answer' filed by that defendant." (Motion at 4:2-3.) In support, Defendants rely on their own counsel's declaration and the proposed Notices of Appeal. Nowhere do Defendants cite to any authority that permits the Court to treat a Notice of Appeal as a pleading subject to Code of Civil Procedure section 473(a). And even if it were, the Court does not find any basis to add a supposed defendant that was not a party to the underlying matter appealed.

Because the Court concludes that the Notice of Appeal is not an Answer within the meaning of the California Code of Civil Procedure, it need not reach Plaintiffs' arguments that they would be prejudiced by the amendment.

The motion is **DENIED**.

9. 9:00 AM CASE NUMBER: C25-00756
CASE NAME: JINLINAG LI VS. SNORKEL AI INC.
HEARING IN RE: JOINDER TO HIREART INC.'S MOTION TO COMPEL ARBITRATION
FILED BY: SNORKEL AI INC.
<u>*TENTATIVE RULING:*</u>

See Line 10.

10. 9:00 AM CASE NUMBER: C25-00756
CASE NAME: JINLINAG LI VS. SNORKEL AI INC.
***MOTION/PETITION TO COMPEL ARBITRATION**
FILED BY: HIREART INC
****TENTATIVE RULING:****

Before the Court is a motion by defendant HireArt, Inc. to compel arbitration and stay the proceedings, and a joinder in the motion filed by defendant Snorkel AI. For the reasons set forth, the motion is **GRANTED**. Plaintiff's claims against defendants HireArt, Inc. and Snorkel AI shall be referred to arbitration, and the action shall be **STAYED** pending completion of the arbitration, except for periodic case management conferences for the parties to apprise the Court regarding the status of the arbitration.

Background

In his second amended complaint filed on October 14, 2025 ("2AC"), Plaintiff alleges that he was jointly employed by defendants Snorkel AI, Inc. and HireArt, Inc. pursuant to the Independent Contractor Agreement dated January 7, 2025 ("ICA"), a copy of which is attached to his 2AC as Exhibit A. He alleges a cause of action for breach of contract against HireArt, a cause of action for "breach of oral/implied in fact contract" against Snorkel, and claims against HireArt and Snorkel as joint employers under the Labor Code for failure to pay him wages, wait time penalties, failure to provide accurate wage statement, misclassification as independent contractor, and intentional infliction of emotional distress.

Defendant HireArt filed a motion to compel arbitration of Plaintiff's claims alleged in the 2AC against both HIreArt and Snorkel and to stay the proceedings in the case pending completion of the arbitration. Co-defendant Snorkel AI has filed a joinder in the motion. Plaintiff opposes the motion and the joinder.

Procedures for Enforcement of Arbitration Agreement

Whether the arbitration agreement is governed by the Federal Arbitration Act, 9 U.S.C. section 1, *et seq.* ("FAA") or by the California Arbitration Act, Code of Civil Procedure section 1280 *et seq.* ("CAA"), the threshold issue of whether a valid and enforceable agreement to arbitrate exists is determined under California law, including whether defenses to enforcement of a contract, such as waiver, bar the enforcement of the arbitration agreement, as discussed in more detail below. (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 413; *Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, 582.) The party moving to compel arbitration "bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. [Citation.]" (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.) (*See also Rosenthal, supra,* 14 Cal.4th at 413.) The Court as the trier of fact weighs the evidence in reaching a final determination regarding the validity and enforceability of the arbitration agreement. (*Engalla, supra,* 15 Cal.4th at 972.)

Once the existence of an arbitration agreement is established, the burden is on the party opposing arbitration to prove a defense to its enforcement. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126; *Alvarez v. Altamed Health Services Corp.* (2021) 60 Cal.App.5th 572, 580.) If a written arbitration agreement exists, it will be enforced unless there are grounds for its revocation. (*OTO, supra,* 8 Cal.5th at 125; Code Civ. Proc. § 1281 [written agreement to arbitrate "is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract"]; 9 U.S.C. § 2 [an arbitration agreement is "valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract . . . ."].)

Analysis

A. No Waiver of Right to Arbitrate

Plaintiff contends HireArt waived the right to compel him to arbitrate because of its participation in the case. In *Quach, supra,* 16 Cal.5th 562*,* the Court addressed the standard for showing a waiver of the right to arbitrate, which it held is the same standard whether the FAA or the CAA applies and is governed by "generally applicable state law contract principles." (*Id.* at 572, 576,) The Court explained, "To establish waiver under generally applicable contract law, the party opposing enforcement of a contractual agreement must prove by clear and convincing evidence that the waiving party knew of the contractual right and intentionally relinquished or abandoned it." (*Id.* at 584 [emphasis added].) The "clear and convincing evidence" standard of proof requires a showing that it is "highly probable" the fact is true. (*Id.* at 584 [emphasis added].)

Proof of waiver can be satisfied by evidence of words of the defendant expressing "an intent to relinquish the right" to arbitrate or with evidence that the defendant's conduct was "so inconsistent with an intent to enforce the contractual right as to lead a reasonable fact finder to conclude the party had abandoned" the right to compel arbitration. (*Id*. [emphasis added].) The exclusive focus of the determination of waiver is the waiving party's conduct; "neither the effect of that conduct on the party seeking to avoid enforcement of the contractual right nor that party's subjective evaluation of the waiving party's intent is relevant. [Citation omitted.]" (*Id.* at 585.) The Court also warned against courts conflating under the general catch-all term "waiver" distinct legal defenses such as forfeiture or estoppel. (*Id.* at 583-584.)

Plaintiff filed an initial complaint and then a first amended complaint on March 26, 2025. The Court's records show HireArt filed an answer to the first amended complaint ("FAC") on April 30, 2025 and then a motion to compel arbitration on July 10, 2025 before any case management conference or other hearing was held. Plaintiff incorrectly asserts that HireArt's answer to the FAC did not reserve any right to arbitration; the second affirmative defense in the April 30, 2025 answer expressly asserts Plaintiff's claims are subject to binding arbitration as his exclusive remedy. (4/30/2025 Ans. ¶ 2, p. 2, ll. 19-24.) HireArt explains it withdrew its initial motion to compel arbitration because Plaintiff filed his 2AC asserting additional causes of action, and on November 13, 2025, HireArt promptly refiled its motion to compel arbitration within 30 days after the 2AC was filed. HireArt's attendance and participation in two case management conferences or responding to Plaintiff's discovery (not propounding discovery to Plaintiff) does not support a finding of waiver under the standards stated in *Quach*. HireArt has not waived the right to compel Plaintiff's claims to arbitration.

B. Existence of An Arbitration Agreement with HireArt

Plaintiff does not dispute that he signed the ICA with the Arbitration Agreement and that the ICA reflects his contract with HireArt for the services subject to his claims in his operative complaint. His declaration in support of his opposition admits he signed and entered into the ICA with HireArt for Snorkel's project. He has attached a copy of which is attached as an exhibit to his 2AC, and he has sued HireArt for breach of contract based on the ICA in his first cause of action of his 2AC. A copy of the ICA is also attached as Exhibit G to the Howe Declaration filed in support of the motion. Plaintiff does not dispute that in the ICA is the "Mutual Arbitration Agreement," which is paragraph 12 ("Arbitration Agreement") of the ICA. (Howe Decl. ¶ 24 and Exh. G.) Snorkel AI is not a party to the ICA, but Snorkel contends Plaintiff's claims against it are also subject to arbitration under the Arbitration Agreement on various theories and based on applicable case law. The Court addresses Snorkel below.

C. The FAA Governs

The Arbitration Agreement states the FAA "governs the terms of the Mutual Arbitration Agreement." (ICA ¶ 12.a..) This language in the Arbitration Agreement means the Arbitration Agreement is subject to the FAA. (*See, e.g., Barrera v. Apple American Group LLC* (2023) 95 Cal.App.5th 63, 72 [finding FAA governed arbitration agreement that stated that "the Federal Arbitration Act shall govern the interpretation, enforcement, and proceedings under this Agreement."].) HireArt has also presented undisputed evidence that its business involves interstate commerce, which also supports that the FAA governs the Arbitration Agreement. (Howe Decl. ¶¶ 2 [temp-to-hire workers nationwide], 4 [principal place of business in New York], 5-7; 9 U.S.C. § 1; *Citizens Bank v. Alafabco, Inc.* (2003) 539 U.S. 52, 55-57 [the term "involving commerce" in the FAA is "the functional equivalent of the more familiar term 'affecting commerce'--words of art that ordinarily signal the broadest permissible exercise of Congress' Commerce Clause power. [Citation omitted.]," holding the FAA applied to debt restructuring agreements even though the individual transactions in that case may not have actually been in interstate commerce]; *Allied-Bruce Terminix Cos., Inc. v. Dobson* (1995) 513 U.S. 265, 273-274 274 [broadly construing "involving interstate commerce" to mean "affecting" interstate commerce, holding the FAA governed an arbitration agreement between a homeowner and local pest control company where the treatment products and repair materials were shipped from out of state].)

D. Delegation Clause and Unconscionability

Parties may agree to have the arbitrator rather than a court determine the "gateway" issues of arbitrability. (*Aanderud v. Superior Court* (2017) 13 Cal.App.5th 880, 891.) There are two requirements for a delegation clause to be enforced. The first requirement is that the delegation clause be "clear and unmistakable." (*Id.* at 891-892; *Rent-A-Center, W., Inc., supra,* 561 U.S. at 71 [in which the delegation provision "gave the arbitrator 'exclusive authority to resolve any dispute relating to the . . . enforceability . . . of this Agreement' ," language also present in paragraph 12.b of the Arbitration Agreement].)

The second requirement for an effective delegation clause is that the delegation clause "cannot be revocable on state law grounds such as fraud, duress, or unconscionability. [Citations omitted.]" (*Tiri v. Lucky Chances, Inc.* (2014) 226 Cal.App.4th 231, 242.) The Court explained that any claim of unconscionability to defeat the effectiveness of the clause based on the second requirement "must be *specific to the delegation clause*." (*Id.* at 244 [italics in original, citing *Rent-A-Center, supra,* 561 U.S. at 73.) "[A] party's challenge to the arbitration agreement does not invalidate the delegation clause, and therefore the arbitrator, and not a court, must consider any challenge to the arbitration agreement as a whole. [Citation omitted.] Stated another way, *Rent-A-Center* acknowledges that while courts may consider enforceability challenges specific to delegation clauses, the arbitrator is to consider challenges to the arbitration agreement as a whole. (*Tiri, supra,* 226 Cal.App.4th at 240, citing *Rent-A-Center, supra,* 561 U.S. at 71, 73.)

The Court in *Malone v. Superior Court* (2014) 226 Cal.App.4th 1551, cited by HireArt, followed this two-step process in a case in which the plaintiff challenged an arbitration agreement contained in an employee handbook in which there was a delegation clause. (*Id.* at 1559–1560.) The plaintiff argued the arbitration agreement and the delegation clause could not be enforced on the grounds of unconscionability. (*Id*. at pp. 1556–1557.) The Court of Appeal held it was proper for the trial court to decide the unconscionability challenge to the delegation clause, and the Court of Appeal found the plaintiff's unconscionability challenges to the delegation clause were unmeritorious. (*Id*. at pp. 1559–1571.) As a result, the Court held the delegation clause was enforceable, and the motion to compel arbitration was properly granted by the trial court, leaving it up to the arbitrator to address the unconscionability or other challenges to the arbitration agreement and the broader employment agreement. (*Id*. at pp. 1570–1571.)

Plaintiff cites *Raines v. U.S. Healthworks Medical Group* (2023) 15 Cal.5th 268 for the proposition that an arbitration agreement "obtained through intentional misclassification" of an employee to evade wage and hours laws is unenforceable. (Opp. to Mot. Section B.) The case does not make that holding or stand for that proposition. The case involved an issue certified to the California Supreme Court for decision as to the meaning of "employer" under the Fair Employment and Housing Act, Government Code section 12900 et seq. ("FEHA") and the unfair employment practice under FEHA of requiring a psychological or medical inquiry. (*Id*. at 273-275.) The words "arbitration" or "arbitrate" do not appear anywhere in the decision, such that there was no holding that a misclassification by an employment agreement, intentional or otherwise, makes an arbitration provision in the agreement unenforceable.

Plaintiff's primary arguments address the unconscionability of the Arbitration Agreement and are not specific to the <u>delegation clause</u>. Plaintiff's argument that the delegation clause is unconscionable is not directed to the clause itself; rather, he argues the delegation clause is unenforceable because the Arbitration Agreement is unenforceable, citing *Rent-A-Center*.

Rent-A-Center, as well as *Malone* not addressed in the opposition to HireArt's motion, stands for the contrary proposition that unless the party opposing arbitration demonstrates the delegation clause itself is unenforceable, based on unconscionability for example, issues regarding the unconscionability or unenforceability of the Arbitration Agreement or the contract as a whole are to be decided by the arbitrator. The Court in *Malone* explained, "[W]hen a party is claiming that an arbitration agreement is unenforceable, <u>it is important to determine whether the party is making a specific challenge to the enforceability of the delegation clause or is simply arguing that the agreement as a whole is unenforceable</u>. If the party's challenge is directed to the agreement as a whole—even if it applies equally to the delegation clause—<u>the delegation clause is severed out and enforced; thus, the arbitrator, not the court, will determine whether the agreement is enforceable</u>. In contrast, if the party is making a specific challenge to the delegation clause, the court must determine whether the delegation clause itself may be enforced (and can only delegate the general issue of enforceability to the arbitrator if it first determines the delegation clause is enforceable). [Citation omitted.]" (*Malone, supra,* 226 Cal.App.4th at 1559-1560 [emphasis added, citing *Rent-A-Center, supra,* 561 U.S. at 70].)

1. Delegation Clause is Clear and Unmistakable

The delegation clause in the Arbitration Agreement states in pertinent part: "The Arbitrator, and not any federal, state, or local court or agency, shall have exclusive authority to resolve any dispute relating to the validity, applicability, enforceability, waiver, or formation of this Arbitration Agreement including, but not limited to any claim that all or any part of this Arbitration Agreement is void or voidable." The clause in subsequent language excludes certain specific determinations not applicable here.

The Court finds the language is clear and unmistakable, and consistent with delegation clauses found to be clear and unmistakable in other reported decisions. (*See Malone, supra,* 226 Cal.App.4th at 1557 [" 'The arbitrator has exclusive authority to resolve any dispute relating to the interpretation, applicability, or enforceability of this binding arbitration agreement.' "]; *Aanderud, supra,* 13 Cal.App.5th at 892 ["the parties 'agree to arbitrate all disputes, claims and controversies arising out of or relating to . . . (iv) the interpretation, validity, or enforceability of this Agreement, including the determination of the scope or applicability of this Section 5 [the "Arbitration of Disputes" section]. . . . ' This language delegates to the arbitrator questions of arbitrability and is clear and unmistakable evidence that the parties intended to arbitrate arbitrability," holding in light of clear and unmistakable delegation clause, trial court erred in determining arbitration agreement was not procedurally or substantively unconscionable].)

The delegation clause passes the first requirement as it is clearly and unmistakably delegates to the arbitrator the authority to address arbitrability, validity, and enforceability issues.

2. Delegation Clause Not Revocable Based on Unconscionability

Plaintiff's primary arguments regarding unconscionability are directed to the Arbitration Agreement or the ICA as a whole (though he seeks to enforce the ICA by suing for breach of contract in his 2AC). He makes only a brief argument regarding unconscionability of the delegation clause unsupported by applicable legal authority.

Unconscionability requires proof of both procedural and substantive unconscionability, based on a sliding scale such that the greater the procedural unconscionability, the lesser the required showing of substantive unconscionability, and vice versa. (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal. 4th 83, 114.)

As to procedural unconscionability, the delegation clause is arguably a contract of adhesion as part of a standard form contract, which provides some degree of procedural unconscionability. (Li Decl. ISO Opp. to Mot. ¶ 2.) The clause is the first sentence of the fourth paragraph of a multi-page Arbitration Agreement, which may add slightly to the degree of procedural unconscionability. Plaintiff alleges in his 2AC that he holds a PhD in mathematics and a Master of Science in Computer Science and that he is a "highly qualified mathematician and computer scientist" who has performed extensive work in artificial intelligence (2AC Intro. and Gen. Alleg. ¶ 1.) The fact that Plaintiff spent three minutes reading the ICA, however, appears to have been Li's decision and not based on any pressure put on him by HireArt. (Li Decl. ISO Opp. to Mot. ¶ 3.) The Court finds only a modest degree of procedural unconscionability based on these circumstances, even liberally construing his unconscionability claim as being directed to the delegation clause.

The only argument regarding substantive unconscionability Plaintiff raises directed to the delegation clause is his contention that having an arbitrator determine a misclassification issue under Labor Code section 2775 is prohibited under California law or public policy. Plaintiff cites no legal authority whatsoever to support these contentions. (Opp. to Mot. Section VII.) HireArt cites contrary authority. (*Khalatian v. Prime Time Shuttle, Inc.* (2015) 237 Cal. App. 4th 651, 660 ["[S]tatutory claims are arbitrable when the parties' contract involves interstate commerce and is therefore governed by the FAA. [Citation omitted.] Given the preference for arbitration, and the broad language of the Agreement, plaintiff's claims that the Labor Code governs his compensation, and not the compensation terms of his Agreement with defendants, fall within the ambit of the arbitration clause," finding claims, including plaintiff's misclassification claim, should have been ordered to arbitration as the disputes were within the broad scope of the arbitration agreement].)

The Arbitration Agreement here contains similarly broad provisions and expressly encompasses Plaintiff's misclassification claim. (Howe Decl. Exh. G [ICA ¶ 12.b., "The Arbitration Agreement is intended to be as broad as legally permissible . . . [¶] [T]his Agreement applies, without limitation, to claims based upon or related to discrimination, harassment, retaliation, defamation, breach of a contract or covenant, fraud, negligence, trade secrets, unfair competition, wages, minimum wage and overtime or other compensation or any monies claimed to be owed, meal breaks and rest periods, termination, tort claims, common law claims, equitable claims, and all other federal, state, or local legal claims arising out of or relating to Contractor’s relationship with the Company and performance and/or termination of work services for the Company and/or any type of claim arising out of an alleged employment relationship. Additionally, any claims or disputes regarding Contractor’s Services and/or alleged employment status with Company, including without limitation any claims that a Contractor should be classified as an employee of Company is arbitrable and covered under this Arbitration Agreement." (Emphasis added.)].)

Given the *Khalatian* decision and the strong policy favoring arbitration under both federal and California law, the Court rejects Plaintiff's unsupported argument that the delegation clause is substantively unconscionable because it means the arbitrator will decide his misclassification claim.

E. Conclusion on Arbitration and Delegation as to Plaintiff's Claims Against HireArt

Plaintiff acknowledges the existence of the Arbitration Agreement and that he entered into the ICA with HireArt. He is suing to enforce the ICA against HireArt in his breach of contract cause of action. (2AC 1st C/A.) The delegation clause is clear and unmistakable. Plaintiff has not demonstrated that the delegation clause is unconscionable and unenforceable on that ground, or any other ground. The Court therefore concludes the delegation clause in the Arbitration Agreement should be enforced and Plaintiff's claims against HireArt compelled to arbitration.

F. Compelling Claims Against Snorkel AI to Arbitration, and Snorkel AI's Joinder in Motion

Snorkel did not file its own motion to compel arbitration but has filed a joinder with a supporting memorandum, joining in HireArt's motion which motion explicitly seeks to compel Plaintiff's claims against Snorkel to arbitration as well. Plaintiff filed a separate opposition to the joinder, raising many of the same arguments he raised in opposition to the HireArt motion and also addressing Snorkel's theories supporting why arbitration of Plaintiff's claims against it can be compelled under the Arbitration Agreement.

Snorkel is not a party to the ICA. The general rule is that "only a party to an arbitration agreement is bound by or may enforce the agreement. [Citations omitted.]" (*Thomas v. Westlake* (2012) 204 Cal.App.4th 605, 613.) The "Claims Covered by Arbitration Agreement" in the Arbitration Agreement in the ICA states: "Except as it otherwise provides, this Arbitration Agreement applies to any dispute that the Company may have against Contractor or that Contractor may have against the Company, and/or any of its: (1) officers, directors, employees, <u>or agents in their capacity as such or otherwise</u>, (2) successors or assigns; (3) vendors; (4) contractors, staffing agencies and professional employer organizations; and each and all of which (1-4) may enforce this Arbitration Agreement as a third party beneficiary. {" "}" (Howe Decl. Exh. G [ICA ¶ 12.b.] (Emphasis added.).)

HireArt and Snorkel posit three alternative theories for Snorkel to be able to compel Plaintiff's claims against it to arbitration, including agency, third party beneficiary, and equitable estoppel. The Court only needs to address the agency theory, as the Court finds under the law and facts, arbitration of the claims against Snorkel can be compelled on that basis.

HireArt and Snorkel argue that Plaintiff has alleged Snorkel is an "agent" of HireArt as the party to the Arbitration Agreement in his 2AC, and that those allegations are sufficient under applicable case law to require claims against the alleged agent to be arbitrated under an arbitration agreement signed by the principal. In the 2AC, Li alleges that "HireArt operates as a staffing and human resources platform, and <u>acted as an agent and/or joint employer with Snorkel in engaging Plaintiff"</u> and that "each of the Defendants was the agent, employee, partner, alter ego, and/or joint venturer of each of the remaining Defendants." (2AC, ¶ Parties 2.) As set forth in *Thomas, supra,* 204 Cal.App.4th 605, "a plaintiff's allegations of an agency relationship among defendants is [sic] sufficient to allow the alleged agents to invoke the benefit of <u>an arbitration agreement executed by their principal even though the agents are not parties to the agreement</u>." (*Id.* at 614-615.) (*See also Garcia v. Pexco, LLC* (2017) 11 Cal.App.5th 782, 788-789; *Dryer v. Los Angeles Rams* (1985) 40 Cal.3d 406, 418 [If, as the complaint alleges, the individual defendants, though not signatories, were acting as agents for the [signatory], then they ae entitled to the benefit of the arbitration provisions. [Citation omitted.]"].)

While there has been some subsequent criticism of the Court's application of equitable estoppel doctrine in *Garcia*, the Court in *Garcia* also held that arbitration could be compelled in that case based on principles of agency, a distinct legal theory, where the plaintiff alleged a joint employer and agency relationship between the two defendants, as Plaintiff has here. (*See Soltero v. Precise Distribution, Inc.* (2024) 102 Cal.App.5th 887, 894-897 [declining to follow Garcia's equitable estoppel holding, but stating "We note that this portion of the *Garcia* decision was not necessary to the result <u>because the court also concluded that the nonsignatory Pexco could compel arbitration under a separate agency exception</u>. [Citation omitted.] On that issue, the court again relied on the plaintiff's own allegations that Pexco and Real Time were joint employers acting as agents for one another. [Citation omitted.] Nothing we say here is intended to cast doubt on the court's application of the agency exception. [Citation omitted.]" (Emphasis added.)].)

Based on Plaintiff's own allegations in his 2AC and the foregoing authority, HireArt and Snorkel have demonstrated that Plaintiff's claims against Snorkel may be compelled to arbitration under the Arbitration Agreement and the valid delegation clause.

Final Conclusion

HireArt and Snorkel have demonstrated the existence of an Arbitration Agreement entered into by Plaintiff. It is undisputed by the parties that HireArt is a party to the ICA with the Arbitration Agreement which Plaintiff signed reflecting his engagement for the services subject to his claims in the 2AC. HireArt and Snorkel have demonstrated based on Plaintiff's agency and joint employer allegations in the 2AC and applicable law that Snorkel may compel arbitration of Plaintiff's claims against Snorkel as well as HireArt. Plaintiff has not demonstrated that the delegation clause in the Arbitration Agreement is both procedurally and substantively unconscionable. It is therefore valid, effective and enforceable.

Plaintiff's arguments regarding the unenforceability of the Arbitration Agreement for unconscionability of the agreement as whole, or the unconscionability or unenforceability of the ICA, and the misclassification of his employment and validity of his designated independent contractor status, can be addressed with the arbitrator. Nothing in this ruling shall be construed to limit Plaintiff's ability to raise and address such arguments in arbitration.

11. 9:00 AM CASE NUMBER: C25-01312
CASE NAME: YANHUA XU VS. CHIACHIA HSU
***HEARING ON MOTION IN RE: EXPUNGE LIS PENDENS AND REQUEST FOR ATTORNEY'S FEES AND COSTS**
FILED BY: HSU, CHIACHIA
****TENTATIVE RULING:****

The Court, *sua sponte*, continues this matter to April 13, 2026, 9:00 am in Department 34. The Court shall issue the order.

12. 9:00 AM CASE NUMBER: C25-01920
CASE NAME: CYNTHIA HARRISON VS. MATTHEW SARABIA
HEARING IN RE: MOTION TO QUASH SERVICE
FILED BY:
****TENTATIVE RULING:****

The Court, *sua sponte*, continues this matter to April 13, 2026, 9:00 am in Department 34. The Court shall issue the order.

13. 9:00 AM CASE NUMBER: C25-02117
CASE NAME: AMAL DIAS VS. MECHANICS BANK
HEARING ON DEMURRER TO: 1ST AMENDED COMPLAINT
FILED BY: MECHANICS BANK
TENTATIVE RULING:

Before the Court is Mechanics Bank's ("Defendant") demurrer. The demurrer relates to Amal Dias and Shamila Weerkkody's (collectively "Plaintiffs") First Amended Complaint for (1) Violation of section 4A of the Uniform Commercial Code, (2) Breach of Contract, (3) Fraudulent Inducement, (4) Gross Negligence, (5) Breach of Fiduciary Duty, (6) Conversion, (7) Violation of California Business and Professions Code section 17200, and (8) Violation of Penal Code section 496[1].

Pursuant to California Code of Civil Procedure section 430.10, Defendant demurs to all eight of the causes of action in Plaintiffs' First Amended Complaint on the grounds that Plaintiffs' non-Commercial Code claims are displaced by division 11 of the California Commercial Code under the court's holding in *Zengen, Inc. v. Comerica Bank* (2007) 41 Cal.4th 239, and that each claim independently fails to state facts sufficient to constitute a cause of action.

Plaintiffs oppose Defendant's demurrer on the grounds that displacement under *Zengen* is narrow and does not reach claims arising from pre- and post-transfer conduct, and that each cause of action is adequately pled.

For the following reasons, Defendant's demurrer to Plaintiffs' first cause of action is **SUSTAINED WITH LEAVE TO AMEND**, while Defendant's demurrer is **SUSTAINED WITHOUT LEAVE TO AMEND** as to Plaintiffs' second, third, fourth, fifth, sixth, seventh, and eighth causes of action.

Any amended complaint shall be filed and served 15 days from the date of this order.

I. <u>Factual Allegations and Background</u>

This case arises out of a banking dispute over an allegedly misrouted or delayed wire transfer.

Plaintiffs Amal Dias and Shamila Weerkkody are husband and wife. (First Amended Complaint ("FAC") at 1:20-21.) Mr. Dias entered into a real estate contract to purchase a fully furnished two-bedroom apartment in Colombo, Sri Lanka for 80,000,000 Rupees ("Rs") on January 21, 2025. (FAC at 2:11-12; Exhibit A.) The real estate contract required a non-refundable cash deposit of 20 percent of the purchase price –16,000,000 Rs – and a promise to remit the 64,000,000 Rs balance by February 14, 2025. (FAC at Exhibit A.) The agreement contained the following provision: "Failure to remit the balance by [February 14, 2025,] will result in termination of this agreement, and the deposited funds will be forfeited by the seller due to grave loss of opportunity." (*Id*.)

Plaintiffs initiated a Foreign Exchange Wire Transfer with Defendant Mechanics Bank on January 29, 2025, for $279,000 U.S. Dollars ("USD") to be delivered to a designated recipient in Sri Lanka. (FAC at 2:14-16; Exhibit B.) Plaintiffs provided Mechanics Bank with the recipient's full banking information, SWIFT code, account number, and the purpose for the wire transfer. (FAC at 2:19-21.) The receipt for the Wire Transfer from Mechanics Bank noted that "[i]nternational wires may be subject to an auto-conversion of funds into local currency by our Intermediary Bank…" and "[w]e are not liable for the actions of any intermediary, regardless of whether or not we selected the intermediary." (*Id*.)

Defendants allegedly routed the funds designated for transfer to the bank in Sri Lanka instead to an intermediary bank in the United Kingdom. (FAC at 3:1-3.) This United Kingdom bank was not the bank provided by Plaintiffs and had no apparent connection to the intended recipient or the intended recipient's bank, which does not operate in the United Kingdom. (*Id*. at 3:12-13, 4:9-11; Exhibit C.) The alleged misrouting of the funds created a delay that stretched beyond what Plaintiffs alleged was the promised delivery timeframe. (*Id*. at 3:4-5.)

Plaintiffs made repeated inquiries with Defendant upon discovery of the error, but Mechanics Bank allegedly "refused to provide assurance regarding the status of the wire or confirm whether the funds would ever be delivered." (FAC at 3:5-6.) Plaintiffs also allege that Defendant failed to disclose the whereabouts of the funds and only did so after Plaintiffs sought to have the transaction aborted. (*Id*. at 3:7-10.) It allegedly took another month for the error to be corrected. (*Id*. at 3:10-11.)

Plaintiffs allege that Mechanics Bank "failed to take adequate and timely action to trace, recover, or reverse the wire transfer, and failed to provide meaningful assistance or resolution." (FAC at 3:20-21.) As a result of the failed wire transfer, Plaintiffs were unable to execute the real estate deal to purchase the apartment in Sri Lanka and lost their deposit. (*Id*. at 4:12-15.) Plaintiffs allege financial loss in the amount of at least $192,161.15 plus consequential damages, interest, and emotional distress. (*Id*. at 3:22-24.)

Plaintiffs initiated the instant suit on July 24, 2025. Their initial complaint alleged just five causes of action for: (1) negligence, (2) breach of contract, (3) breach of fiduciary duty, (4) conversion and (5) violation of UCL. Defendant's counsel, James Neudecker, initiated meet and confer efforts pursuant to California Code of Civil Procedure section 430.41(a) in early September, leading to phone calls between counsel on September 9, and September 11, 2025. (James Neudecker Declaration ("Neudecker Dec.") ¶ 3.) This prompted Plaintiffs' First Amended Complaint, filed September 24, 2025, wherein Plaintiffs added causes of action for Violation of section 4A of the Uniform Commercial Code, Fraudulent Inducement, and Violation of Penal Code section 496.

II. <u>Meet and Confer Efforts</u>

Before a responding party files a demurrer, the parties shall meet and confer at least five days prior to the date the responsive pleading is due, in person, by telephone, or by videoconference. (Code Civ. Proc., § 430.41(a)(2).)

After Plaintiffs filed their First Amended Complaint, counsel exchanged several emails between October 2 and October 8, 2025, in which Mr. Neudecker identified the alleged deficiencies laid out in the instant demurrer. (Neudecker Dec. Ex. 1.) He inquired several times as to when Plaintiffs' counsel, Bruce Zelis, might be available to meet and confer pursuant to the statutory requirement. (*Ibid*.) Mr. Zelis did not provide any availability for such a meeting and instead, in a final email on October 8, 2025, advised Mr. Neudecker to "[f]ile your Answer or Demurrer or whatever you think is appropriate." (*Ibid*.) Defendant met its burden under the statute. (*Ibid*.)

III. Legal Standard

"A demurrer tests the sufficiency of the complaint by raising questions of law." (*Schmidt v. Foundation Health* (1995) 35 Cal.App.4th 1702, 1706.) The court "treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law." (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) A demurrer does not test the truth or accuracy of the facts alleged in the complaint; the court assumes the truth of all properly pleaded factual allegations and those which arise by reasonable implication. (*Los Altos Golf & Country Club v. County of Santa Clara* (2008) 165 Cal.App.4th 198, 203; *Shurpin v. Elmhirst* (1983) 148 Cal.App.3d 94, 98.)

A complaint "is sufficient if it alleges ultimate rather than evidentiary facts" (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550 ("*Doe*")), but the plaintiff must set forth the essential facts of his or her case "with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent" of the plaintiff's claim. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.) "[P]laintiff's ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court." (*Alcorn v. Anbro Engineering, Inc.* (1970) 2 Cal.3d 493, 496.)

The complaint must be "liberally construed, with a view to substantial justice between the parties." (Code Civ. Proc. § 452.) "[I]f it appears that the plaintiff is entitled to any relief against the defendant, the complaint will be held good, even though the facts may not be clearly stated." (*Community Cause v. Boatwright* (1981) 124 Cal.App.3d 888, 896.)

Leave to amend is liberally allowed as a matter of fairness, however when it conclusively appears that there is no possibility of alleging facts under which recovery can be obtained, denial of leave to amend is appropriate. (*City of Stockton v. Superior Court* (2007) 42 Cal.4th 730, 747; *Eghtesad v. State Farm General Ins. Co.* (2020) 51 Cal.App.5th 406, 412.) "Leave to amend should be denied where the facts are not in dispute and the nature of the claim is clear, but no liability exists under substantive law." (*Lawrence v. Bank of Am.* (1985) 163 Cal.App.3d 431, 436.)

IV. Analysis

a. Displacement Under Division 11 of the California Uniform Commercial Code

Division 11 of the California Uniform Commercial Code ("UCC") governs funds transfers, which it defines as "the series of transactions, beginning with the originator's payment order, made for the purpose of making payment to the beneficiary of the order." (Com. Code, § 11104(a).)

Other definitions relevant to the instant inquiry include: "Intermediary bank," defined as "a receiving bank other than the originator's bank or the beneficiary's bank;" "Originator," defined as "the sender of the first payment order in a funds transfer;" and "Beneficiary," defined as "the person to be paid by the beneficiary's bank." (Com. Code, §§ 11104(b), 11104(c), 11103(a)(2).)

The California Supreme Court in *Zengen, Inc. v. Comerica Bank* (2007) 41 Cal.4th 239, found that common law causes of action are preempted by Division 11 in two areas: "(1) where the common law claims would create rights, duties, or liabilities inconsistent with division 11; and (2) where the circumstances giving rise to the common law claims are specifically covered by the provisions of division 11." (*Zengen, Inc. v. Comerica Bank* (2007) 41 Cal.4th 239, 253.) The *Zengen* court emphasized that the provisions of Division 11 "are intended to be the exclusive means of determining the rights, duties and liabilities of the affected parties in any situation covered by a particular provision." (*Id*. at 252.)

> 'Although the California Uniform Commercial Code does not catalog all the ways in which a bank may execute an unauthorized wire transfer, it certainly specifies the consequences for doing so. Section 11201 et seq. sets forth the respective rights, duties and liabilities of the parties upon the issuance and acceptance of a payment order under division 11.' To adapt the conclusion of one court to this case, '[b]ecause the situation made the basis of the [plaintiff's] common-law claims—that [the Bank] made an improper funds transfer—is unequivocally addressed in the particular provisions of Article 4A, we conclude that those common-law claims are displaced by Article 4A and that the [plaintiff's] exclusive remedy for that claim must be found in Article 4A.'

(*Zengen, Inc.*, *supra*, 41 Cal.4th at 254-255.)

It is undisputed that the transaction at issue in this case – a $279,000 international wire transfer initiated by Plaintiffs through Defendant – was a funds transfer as governed by Division 11. (FAC at 4:18-19; Demurrer ("Dem.") at 10:1-7; Com. Code, § 11104(a).)

The Court addresses Plaintiffs' first cause of action for Violation of Section 4A of the UCC and eighth cause of action for Violation of California Penal Code section 496 on the merits below. The remaining six causes of action arise from Defendant's alleged mishandling of the wire transfer and are subject to displacement analysis under *Zengen*. Because circumstances giving rise to each of those claims are specifically covered by Division 11's provisions, they are addressed accordingly.

b. <u>Violation of Section 4A of the Uniform Commercial Code (First Cause of Action)</u>

Plaintiffs allege that Defendant violated sections 11302 and 11303 of the California Commercial Code when, after Plaintiffs issued a payment order to send funds to a beneficiary bank in Sri Lanka, Defendant routed Plaintiffs' wire transfer to an intermediary bank in the United Kingdom and the funds were never received by the intended beneficiary bank in Sri Lanka. (FAC at 4:6-11, 16-17.)

i. <u>California Commercial Code section 11302</u>

California Commercial Code section 11302 governs the obligations of receiving banks in the execution of payment orders. (Com. Code, § 11302.) It provides that receiving banks must issue, on the execution date, a payment order complying with the sender's order. (Com. Code, § 11302(a)(1).) It further provides that "[u]nless otherwise instructed, a receiving bank…may…issue a payment order to the beneficiary's bank or to an intermediary bank through which a payment order conforming to the sender's order can expeditiously be issued to the beneficiary's bank if the receiving bank exercised ordinary care in the selection of the intermediary bank." (Com. Code, § 11302(b).)

With respect to California Commercial Code section 11302, the conduct Plaintiffs identify as wrongful – routing an international wire transfer through an intermediary bank – is expressly authorized by subdivision (b). Furthermore, the Foreign Exchange Wire Receipt, signed by Mr. Dias, repeatedly and expressly contemplates intermediary routing for international wires. (FAC at Exhibit B.) The First Amended Complaint alleges only that the intermediary delayed in processing the transfer and that funds did not reach the beneficiary bank before Plaintiffs cancelled the transaction. (FAC at 3:4-5.) These allegations do not state a violation of California Commercial Code section 11302.

Plaintiffs, in their opposition, argue that Mechanics Bank's failure to trace the transfer, respond to inquiries, and timely correct the error, supports an inference of lack of ordinary care sufficient to survive demurrer. (Plaintiffs' Memorandum of Opposition to Demurrer ("Opp.") at 10:26-11:3.) They contend that, "it is reasonably inferred that the Bank's conduct was unreasonable and lacked ordinary care based on the specific allegations that the Bank: (1) selected an intermediary that failed to perform; (2) ignored Plaintiffs' repeated pleas for a status trace; and (3) deprived Plaintiffs of their funds for over a month after the wire was initiated." (*Ibid*.)

On demurrer, a complaint must contain "substantive factual allegations sufficiently apprising defendant of the issues it is being asked to meet." (*Williams v. Beechnut Nutrition Corp.* (1986) 185 Cal.App.3d 135, 139, fn. 2.) Plaintiffs' First Amended Complaint contains no factual allegations directed at the bank's selection of the intermediary or the reasonableness of the transfer system – the operative inquiries under California Commercial Code section 11302(b).

The allegation that the intermediary bank that Defendant selected caused a delay does not, without more, imply that the Defendant's conduct in selecting the intermediary bank was unreasonable and lacked ordinary care. And the allegations relating to Defendant's conduct after the wire transfer allegedly failed to reach its destination – ignoring pleas for a status trace, and depriving Plaintiffs of their funds for over a month –are similarly unsupportive of the conclusion that Defendant's conduct in selecting the United Kingdom intermediary was unreasonable and lacked ordinary care

i. <u>California Commercial Code section 11303</u>

California Commercial Code section 11303 governs erroneous execution of payment orders. It provides that where a receiving bank executes a payment order in an amount greater than or less than the sender's order, or transmits a duplicate payment order, the bank is obligated to correct the error. (Com. Code, § 11303(a), (b).) It further requires that if a receiving bank executes a payment order by issuing a payment order to a beneficiary different from the beneficiary of the sender's order, and the funds transfer is completed on the basis of that error, the sender is not obligated to pay the erroneously executed order," (Com. Code, § 11303(c).)

As relates to California Commercial Code section 11303, Plaintiffs allege no erroneous execution within the meaning of that provision. There is no allegation that Defendant transmitted a duplicate order, an amount inconsistent with the sender's instructions, or that the funds transfer was completed on the basis of an error such that Plaintiffs were unable to effect a refund. Plaintiffs contend that Mechanics Bank routed funds to a United Kingdom intermediary bank rather than the Sri Lankan beneficiary bank, however the First Amended Complaint also affirmatively alleges that Plaintiffs cancelled the transaction and the funds were returned. (FAC at 3:1-3, 9-11.) They expressly allege "Defendant Bank's *failure to execute* Plaintiffs' payment order…" was the cause of Plaintiffs' failed real estate deal and lost deposit. (*Id*. at 4:12-15 (emphasis added).) Because the transfer was never completed and Plaintiffs got their money back, section 11303 does not apply, and Plaintiffs cannot state a claim under that provision on these facts.

Accordingly, the demurrer to the first cause of action for Violation of Section 4A of the UCC is **SUSTAINED**. However, because Plaintiffs may conceivably be able to allege specific facts about the intermediary bank or Defendant's process in selecting them that would support a lack of ordinary care, **LEAVE TO AMEND** is granted as to this cause of action.

c. Breach of Contract (Second Cause of Action)

Plaintiffs allege that they entered into an express written agreement with Defendant for the execution of a wire transfer, and Defendant breached the agreement by failing to transfer the funds correctly by violating the agreed timeframe, and by failing to provide contracted services. (FAC at 5:5-10.)

Plaintiffs' Breach of Contract claim is displaced by Division 11. Under *Zengen*, common law claims are displaced where the circumstances giving rise to them are specifically covered by Division 11's provisions. (*Zengen, Inc.*, *supra*, 41 Cal.4th at 254-255.) Here, California Commercial Code section 11302 specifically governs a receiving bank's obligations in executing a payment order, including the duty to issue a conforming order on the execution date and the manner in which intermediary banks may be used. (Com. Code, § 11302(a)(1), (b).) Plaintiffs' breach of contract claim is entirely premised on Defendant's alleged failure to properly execute the payment order, the precise subject matter covered by California Commercial Code section 11302. A breach of contract claim based on the same conduct would necessarily create duties and liabilities inconsistent with Division 11's carefully calibrated risk allocation scheme. It is therefore displaced.

Accordingly, the demurrer to the second cause of action for breach of contract is **SUSTAINED WITHOUT LEAVE TO AMEND**.

d. Fraudulent Inducement (Third Cause of Action)

Plaintiffs allege that Mechanics Bank represented to them that it would properly process the wire transfer in accordance with standard wire procedure and applicable banking regulations, including the Bank Secrecy Act ("BSA") and Anti-Money Laundering ("AML") requirements, and that the funds would be safely transmitted to the designated recipient in Sri Lanka. (FAC at 5:18-21, 6:14-15.) Plaintiffs further allege that Mechanics Bank knew or should have known these representations were false when made. (*Id*. at 6:9-12.)

Plaintiffs' Fraudulent Inducement claim is displaced by Division 11. Although Plaintiffs frame the claim as arising from misrepresentations made before the funds transfer was initiated rather than the execution of the funds transfer itself, the representations alleged concern how the wire transfer would be processed and whether funds would reach the designated beneficiary; this conduct is specifically covered by California Commercial Code section 11302.

Under *Zengen*, the relevant inquiry is not how a claim is characterized but whether the circumstances giving rise to it are specifically covered by Division 11's provisions. "'Although the California Uniform Commercial Code does not catalog all the ways in which a bank may execute an unauthorized wire transfer, it certainly specifies the consequences for doing so. Section 11201 et seq. sets forth the respective rights, duties and liabilities of the parties upon the issuance and acceptance of a payment order under division 11.'" (*Zengen, Inc.*, *supra*, 41 Cal.4th at 254-255.) Accordingly, under *Zengen*, a fraudulent inducement claim premised on representations about the execution of a wire transfer would create duties and liabilities inconsistent with Division 11's exclusive risk allocation framework and is therefore displaced.

Accordingly, the demurrer to the third cause of action for Fraudulent Inducement is **SUSTAINED WITHOUT LEAVE TO AMEND**.

e. Gross Negligence (Fourth Cause of Action)

Plaintiffs allege that Mechanics Bank owed them a duty of reasonable care in processing their international wire transfer, and by misrouting funds, and failing to follow industry-standard resolution protocols, it breached that duty. (FAC at 7:19-23.)

Plaintiffs' Gross Negligence claim is displaced by Division 11. *Zengen* addressed negligence claims directly and held that where Division 11 specifically covers the circumstances giving rise to a negligence claim, the claim is displaced regardless of how it is characterized. (*Zengen, Inc.*, *supra*, 41 Cal.4th at 254.) The court explained that "'[a]lthough the California Uniform Commercial Code does not catalog all the ways in which a bank may execute an unauthorized wire transfer, it certainly specifies the consequences for doing so.'" (*Zengen, Inc.*, *supra*, 41 Cal.4th at 254-255.) Sections 11205 and 11302 specifically govern erroneous payment orders and the execution obligations of receiving banks, which is the precise subject matter of Plaintiffs' negligence claim. The claim is therefore displaced.

Plaintiffs rely on *Approved Mortg. Corp. v. Truist Bank* (7th Cir. 2024) 106 F.4th 582 for the proposition that post-transfer negligence claims are not preempted by Article 4A (Opp. at 9:1-7.) This authority is not binding on this court. (*Auto Equity Sales, Inc. v. Superior Court* (1962) 57 Cal.2d 450, 455-456.) Moreover, it is distinguishable; *Approved Mortgage* involved post-transfer conduct by a bank that was wholly independent of the payment order mechanics, arising after the transfer was completed. (*Approved Mortg. Corp.*, *supra*, 106 F.4th at 594-595.) Here, Plaintiffs' negligence allegations – failure to trace, failure to correct the misrouting, failure to communicate – all relate directly to Defendant's handling of the wire transfer itself and the consequences of its alleged failed execution. That is squarely within Division 11's coverage under *Zengen*.

Accordingly, the demurrer to the fourth cause of action for Gross Negligence is **SUSTAINED WITHOUT**

LEAVE TO AMEND.

f. Breach of Fiduciary Duty (Fifth Cause of Action)

Plaintiffs allege that Mechanics bank, as a trusted financial institution, owed them a fiduciary duty to act in good faith, with due care, and in Plaintiffs' best interest. (FAC at 8:6-9.) They further allege that Mechanics Bank breached these duties when it acted negligently or indifferently in handling their funds and failing to correct the error. (*Ibid*.)

Plaintiffs' Breach of Fiduciary Duty claim is displaced by Division 11. The claim is premised on Defendant's alleged mishandling of the wire transfer, conduct specifically covered by California Uniform Commercial Code sections 11202 and 11204, which govern the allocation of rights, duties, and responsibilities between a bank and its customers with respect to payment orders. A Breach of Fiduciary Duty claim premised on the same conduct would create duties and liabilities inconsistent with Division 11's exclusive risk allocation framework. Under *Zengen*, it is therefore displaced. (*Zengen, Inc.*, *supra*, 41 Cal.4th at 253.)

This claim also fails as a matter of law independent of displacement. It is black letter California law that the relationship between a bank and its depositor is one of debtor and creditor, not a fiduciary relationship. (*Lawrence v. Bank of Am.* (1985) 163 Cal.App.3d 431, 437; *Morse v. Crocker Nat'l Bank* (1983) 142 Cal.App.3d 228, 232; *Downey v. Humphreys* (1951) 102 Cal.App.2d 323, 332.) The acceptance of a payment order does not transform a contractual banking relationship into a fiduciary one.

Plaintiffs argue that a fiduciary duty arose from Defendant's acceptance of specific time-sensitive wire instructions and its superior knowledge and control over the transfer process, and rely on *Barrett v. Bank of Am.* (1986) 183 Cal.App.3d 1362, 1369, for the proposition that the bank-depositor relationship is "at least quasi-fiduciary." (Opp. at 13:18-22; *Barrett v. Bank of Am.* (1986) 183 Cal.App.3d 1362, 1369.) *Barrett* does not support Plaintiffs' claim. There the quasi-fiduciary duty was recognized only in the specific context of a bank acting as an agent for a particular limited purpose under circumstances giving rise to a special relationship of trust and confidence. No such circumstances are alleged here. Plaintiffs allege only a standard banking transaction.

Accordingly, the demurrer to the fifth cause of action for Breach of Fiduciary Duty is **SUSTAINED WITHOUT LEAVE TO AMEND**.

g. Conversion (Sixth Cause of Action)

Plaintiffs allege that Mechanics Bank wrongfully exercised control over Plaintiffs' funds by failing to deliver or recover the amount transferred and withholding it without justification such that the bank's conduct constituted conversion. (FAC at 8:16-18.)

Plaintiffs' Conversion claim is displaced by Division 11. The claim is premised on Defendant's alleged wrongful retention of funds in connection with the failed wire transfer, conduct specifically covered by California Uniform Commercial Code section 11204, which governs the bank's obligation to refund payment and the customer's duty to report with respect to unauthorized or erroneous payment orders. A Conversion claim premised on that same conduct would create duties and liabilities inconsistent with Division 11's exclusive framework for addressing the wrongful retention or misapplication of transferred funds. Under *Zengen*, it Is therefore displaced. (*Zengen, Inc.*, *supra*, 41 Cal.4th at 253.)

Accordingly, the demurrer to the sixth cause of action for Conversion is **SUSTAINED WITHOUT LEAVE TO AMEND**.

h. Violation of California Business and Professions Code section 17200 (Seventh Cause of Action)

Plaintiffs allege that Mechanics Bank's conduct in misrouting funds and failing to communicate the location of the funds, or to provide any assurance for several weeks following the transaction, qualifies as unlawful, unfair, and fraudulent business practices under California Business and Professions Code section 17200 ("UCL"). (FAC at 9:5-10.)

Plaintiffs' UCL Claim is displaced by Division 11. The claim arises from the same wire transfer conduct specifically covered by Division 11's provisions. Under *Zengen*, the relevant inquiry is whether the circumstances giving rise to the claim are specifically covered by Division 11, regardless of how the claim is labeled. (*Zengen, Inc.*, *supra*, 41 Cal.4th at 253.) Here, the alleged misrouting of the wire transfer and the Defendant's execution obligations are specifically covered by California Uniform Commercial Code section 11302. The alleged failure to correct the error and refund payment is specifically covered by California Uniform Commercial Code section 11204. The alleged erroneous execution of the payment order is specifically covered by California Uniform Commercial Code section 11205. Because each component of the alleged unlawful, unfair, and fraudulent conduct is specifically covered by Division 11, the UCL claim is displaced in its entirety.

Even if Plaintiffs could identify some component of their UCL claim that falls outside Division 11's coverage, the claim would nonetheless fail because no UCL remedy is available. Remedies for prevailing plaintiffs in a UCL action are limited to injunctive relief and restitution. (*Cel-Tech Communications, Inc. v. Los Angeles Cellular Telephone Co.* (1999) 20 Cal.4th 163, 179; *Kraus v. Trinity Management Services, Inc.* (2000) 23 Cal.4th 116, 128; Bus. & Prof. Code, § 17203.) Plaintiffs' First Amended Complaint acknowledges that Plaintiffs' funds were returned to them. (FAC at 3:9-11.) There is, accordingly, nothing to restore by way of restitution, and because the alleged conduct has already occurred, there is nothing to enjoin.

Accordingly, the demurrer to the seventh cause of action for Violation of California Business and Professions Code section 17200 is **SUSTAINED WITHOUT LEAVE TO AMEND**.

i. Violation of Penal Code section 496

Plaintiffs allege that Mechanics Bank acted in violation of Penal Code 496 when through fraud, deceit, and misrepresentation, Defendant allegedly conspired to and did take money from Plaintiffs by false pretense, constituting theft of property of the Plaintiffs in the amount of $279,000.00 USD. (FAC at 10:1-7.)

Plaintiffs' allegations supporting this cause of action are difficult to parse, but the statute's plain terms bear little relationship to the facts alleged here. Plaintiffs appear to allege that Defendant's conduct in processing the wire transfer constituted theft by false pretense, but the First Amended Complaint does not identify what property was stolen, by whom, or how Defendant's role in executing an authorized wire transfer amounts to receiving stolen property within the meaning of the statute.

Penal Code section 496 provides a civil remedy for any person injured by the receipt, concealment, or withholding of stolen property. (Pen. Code, § 496(a), (c).) To state a claim, a plaintiff must allege that property at issue was stolen or obtained by theft, that the defendant then received, concealed, or withheld it, and that the defendant knew the property was so stolen or obtained. (*Ibid*.)

Plaintiffs' claim fails on its face. The First Amended Complaint does not allege that the funds at issue were stolen or obtained by theft. To the contrary, it affirmatively alleges that Plaintiffs themselves authorized the wire transfer of their own funds through Mechanics Bank. (FAC at 2:14-16.) Property that a plaintiff voluntarily authorized a bank to transfer is not stolen property within the meaning of Penal Code section 496. That the transfer was allegedly mishandled or delayed does not transform Plaintiffs' own funds into stolen property, nor does it render Mechanics Bank a knowing recipient of stolen goods.

Accordingly, the demurrer to the eighth cause of action for Violation of Penal Code section 496 is **SUSTAINED WITHOUT LEAVE TO AMEND**. Where the plaintiff's own allegations foreclose the essential elements of the claim, amendment is futile. (*Blank*, *supra*, 39 Cal.3d at 318.) Plaintiffs cannot allege that their funds were stolen without directly contradicting their own allegation that they authorized the transfer. No amendment can cure that fundamental deficiency.

V. Conclusion

For the foregoing reasons, Defendant's demurrer to Plaintiffs' first cause of action is **SUSTAINED WITH LEAVE TO AMEND**, while Defendant's demurrer is **SUSTAINED WITHOUT LEAVE TO AMEND** as to Plaintiffs' second, third, fourth, fifth, sixth, seventh, and eighth causes of action.

[1] The causes of action on the caption page of Plaintiffs' First Amended Complaint do not align with those laid out in the body of their First Amended Complaint. The Court here addresses the causes of action as they are asserted in the body of Plaintiffs' First Amended Complaint and disregards the caption.

14. 9:00 AM CASE NUMBER: C25-02672
CASE NAME: RANDY GATEWOOD VS. CHANELL JACKSON
***HEARING ON MOTION IN RE: BE RELIEVED AS COUNSEL**
FILED BY: GATEWOOD, RANDY
<u>*TENTATIVE RULING:*</u>

ATTACHMENT A

LINE 14: RANDY GATEWOOD VS. CHANELL JACKSON (C25-02672)

Rhonda Kraeber ("Counsel") filed a Motion to be Relieved as Counsel on January 29, 2026 (the "Motion to be Relieved as Counsel"). The matter was set for hearing on June 15, 2026. By the Court's Order entered March 10, 2026, the Motion to be Relieved as Counsel was advanced for hearing to March 30, 2026. Notice was duly given.

<u>Background</u>

Counsel seeks to be relieved as attorneys for plaintiff Randy Gatewood ("Plaintiff").

The supporting declaration filed by Counsel indicates that there has been a breakdown in the attorney-client relationship due to a lack of communication and non-payment issues. See Declaration filed January 29, 2025, ¶2. Defendant has been given notice of the Motion to be Relieved as Counsel. *Id*. at ¶3; see also Notice of Hearing filed February 26, 2026.

<u>Analysis</u>

The Motion to be Relieved as Counsel is unopposed.

<u>Disposition</u>

The Court finds and rules as follows:

1. The Motion to be Relieved as Counsel is GRANTED.
2. The Court reviewed and rejects the lodged form of order ("Updated Order Granting Attorney's Motion to be Relieved as Counsel—Civil" lodged February 26, 2026). Paragraphs 6 and 7 of the proposed form of order are incomplete. The information in Paragraph 8 should be in Paragraph 7. Box 5.a. should be checked. **Counsel is directed to correct and resubmit a further revised form of order**.

15. 9:00 AM CASE NUMBER: MSC21-00476
CASE NAME: FLEXSQUARE LLC VS EGHTESAD
***HEARING ON MOTION IN RE: DISMISS ACTION FOR FAILURE TO OBEY DISCOVERY ORDERS**
FILED BY: EGHTESAD, NADER
<u>*TENTATIVE RULING:*</u>

Defendant Nader Eghtesad ("Defendant") filed a motion to dismiss this action for failure to obey discovery orders on November 6, 2026 (the "Motion to Dismiss"). The Motion to Dismiss was set for hearing on March 30, 2026. Notice was duly given.

Background

Defendant's Motion to Dismiss is made pursuant to Code of Civil Procedure sections 2023.030 (d)(3) and 2031.310(i) for failure to comply with prior discovery orders issued by the Court, including the Court's July 2025 Discover Order and October Discovery 2025 Order, as described further below.

The Court approved, and adopted as its order, the recommendations of the appointed discovery referee that, among other things, plaintiff FlexSquare, LLC ("Plaintiff") make further responses to certain discovery propounded by Defendant. This included making further verified responses and corresponding document production as to the request Nos. 1 through 22 of a Requests for Production (Set Three). See Report and Recommendation and order thereon filed July 31, 2025 (the "July 2025 Discover Order"). In addition, Plaintiff was ordered to provide further verified responses to Form Interrogatory No. 17.1 with respect to certain requests for admissions propounded (Nos. 7, 8, 18 and 36).

After Defendant brought an earlier motion for termination sanctions, the Court found that Plaintiff had failed to provide further verified discovery responses, including discovery responses that were the subject of the July 2025 Discover Order. See Order after Hearing entered October 6, 2025 (the "October 2025 Order") (regarding the proceedings heard on September 29, 2025).

In doing so, the Court made express findings as to Plaintiff's blatant non-compliance with discovery obligation and the extended history of that non-compliance, including violation of court orders for discovery. As addressed at length in the Court's October 2025 Order:

> What becomes evident from the instant motion is plaintiff's dismal, and potentially contemptible, responses to defendant's repeated efforts to obtain discovery. Quite simply and plainly, the actions by plaintiff during the discovery process are inappropriate and preclude the defendant from proceeding in a manner that the legislature intends through the Discovery Act. Additionally, plaintiff's actions fail to meet what this court customarily expects in the discovery process. This is not the first time in the lawsuit that the actions of the plaintiff's counsel have come into question. (See Order after Hearing, May 13, 2024.)

See October 2025 Order, p. 1.

The prior ruling referenced in the October 2025 Order was an order entered on July 2, 2024 after a hearing conducted May 13, 2024. In that order, the Court had observed:

Plaintiff's counsel repeatedly and improperly prevented questions regarding Flexsquare LLC's loss of income claim. This occurred against a legal and factual backdrop where Plaintiff's counsel did not serve any objections to the notice of deposition, including the request for documents. (Code Civil Proc. §2025.410(a).) While admittedly, plaintiff's counsel did object to a later notice of deposition.

The communications and agreements reached between counsel for plaintiff and defendant are somewhat opaque. As a result, this court does not award any sanctions due to that lack of clarity of those communications. Nonetheless, plaintiff's counsel is reminded about the professional standards that must necessarily guide an individual's practice of law, including conduct during a deposition. Some of plaintiff's counsel's comments during the course of the deposition were inappropriate, and he should redouble his efforts to refrain from them, especially those *ad hominem* in nature.

See Order after Hearing entered July 2, 2024 (the "July 2024 Order") regarding the proceedings heard on May 13, 2024.

Against this backdrop, the Court, in the exercise of its discretion, resolved to give Plaintiff a final opportunity to come into full compliance before resorting to the drastic remedy of terminating or other further sanctions. See October 2025 Order, p. 2.

The Court admonished Plaintiff regarding the continued non-compliance and warned of the possible imposition of significant further monetary sanctions or terminating or the granting of terminating sanctions if the non-compliance continued. See October 2025 Order, p. 2 ("Plaintiff is put squarely on notice that any further non-compliance with court orders, including this order requiring further prompt action by plaintiff, might result in the termination of this lawsuit.").

The Court ordered that Plaintiff provide the previously ordered discovery and monetary sanctions to Defendant:

- Plaintiff and its counsel shall immediately provide the already ordered discovery and sanctions to defendant, and in no event, later than October 20, 2025.

See October 2025 Order, p. 2.

Analysis

Defendant contends that the Court should impose terminating sanctions because Plaintiff has not served code-compliant responses to Defendants' Requests for Production, Set Three that were the subject of the Court's July 2025 Discover Order and October Discovery 2025 Order.

The Court recited the present state of non-compliance in its October 2025 Order:

Presently, plaintiff's counsel has failed to provide further verified responses and corresponding document production as to defendant's Request for Production Nos. 1-2, as ordered by the court. Moreover, plaintiff's counsel failed to provide further verified responses to defendant's form interrogatories 17.1 with respect to Request for Admissions Nos. 7, 8, 18, 35 & 36. Finally, plaintiff and its attorneys of record have not paid $2,800 in sanctions. All of these were recommended by the discovery referee, Hon. Russell L. Hom (Ret.), and adopted by the court via subsequent order filed July 31, 2025.

See October 2025 Order, p. 2.

First, it should be noted that the reference above to "1-2" appears to be in error, as the underlying order at issue was directed at "Defendant's Production Nos. 1-22" of a Set Three of document production requests, among other things.

Defendant acknowledges that amended responses were served on October 20, 2025, the Court imposed deadline. However, Plaintiff takes issue with the content of those responses, arguing that they were not code-compliant based on the language of the responses and that this violated a prior order and amounting to continued non-compliance.

Defendant observes that the prior order specifically addressed the requirements for a statement of compliance to be code-compliant. See July 2025 Discover Order, p. 5. The order goes on to observe in detail how the statements of compliance in Plaintiff's responses are not code-compliant. *Id*. at p. 10. Among other things, the order found that statement to the effect that Plaintiff **"will produce all non-privileged documents that appear to be responsive to this demand"** are insufficient under Code of Civil Procedure section 2031.220. The order proceeds to explain, in detail, the requirements of Section 2031.220. *Id*.

"Responding party will produce all non-privileged responsive documents in responding party's possession, custody or control." See e.g. Response to RPD No. 1 of Request for Production of Documents Set Three, Declaration Stephanie Guerra filed November 6, 2025 filed as part of Motion to Dismiss ("Guerra Decl.") (emphasis added). Plaintiff made the substantially same response (after a litany of boilerplate objections) to most of the requests.

This amended form of response is a sufficient code-compliant response. See Code Civ. Proc. §§ 2031.210(a) ("among the appropriate options for a response is a "statement that the party will comply with the particular demand for inspection") and 2031.220 ("[a] statement that the party to whom a demand for inspection, copying, testing, or sampling has been directed will comply with the particular demand shall state that the production, inspection, copying, testing, or sampling, and related activity demanded, will be allowed either in whole or in part, and that all documents or things in the demanded category that are in the possession, custody, or control of that party and to which no objection is being made will be included in the production"); see *Pollock v. Superior Court* (2023) 93 Cal.App.5th 1348, 1357 (discussing nature of code compliant response to document demand); see Weil & Brown, *et al*., *Cal. Prac. Guide: Civ. Pro. Before Trial* (The Rutter Group 2025) ("Weil & Brown") § 8:1469.

The response language amounts to a representation the inspection will be allowed in whole and expressly includes all responsive documents in Plaintiff's "possession, custody, or control." There are not qualifications on the compliance statement such as were contained in the prior responses (limiting the compliance to documents that "**appear to be responsive**" without statement that all documents in Plaintiff's possession, custody, or control will be included in the production).

While there may be some issues with the boilerplate objections, that would have been a matter for a motion to compel further responses. The Court does not conclude that any issue with those objections justifies the drastic remedy of terminating or other extraordinary sanctions.

Defendant also notes that Plaintiff failed to provide any amened response to No. 22. See e.g. Response to Request for Production of Documents Set Three, Declaration, Guerra Decl., **Exhibit 8**.

While it does appear that Plaintiff failed to provide an amended response to No. 22, as ordered, the Court does not conclude that this issue warrants terminating or other extraordinary sanctions at this stage of the proceedings.

The Court does not conclude that any of the other issues raised justify the imposition of terminating or other extraordinary sanctions.

If documents were improperly withheld during discovery, there may be further appropriate remedies available at trial.

In light of the foregoing, the Court need not address the opposition argument based on the discovery motion hearing cutoff date. See Code Civ. Proc. § 2024.020.

<u>Disposition</u>

The Court finds and rules as follows:

1. The Motion to Dismiss is DENIED.
2. The Court shall issue the order after hearing.

16. 9:00 AM CASE NUMBER: N25-2244
CASE NAME:
***HEARING ON MINOR'S COMPROMISE**
FILED BY:
<u>*TENTATIVE RULING:*</u>

Petitioner Leyla Ramirez Mejia ("Petitioner") filed a Petition for Approval of Compromise of Claim on or about November 14, 2025 seeking court approval of the compromise and proposed disposition set forth therein as to the claimant minor Ashley Mejia Ramirez (the "Minor's Compromise"). See Code Civ. Proc. § 372 and Rule 7.950 *et seq*. of the California Rules of Court (CRC). The Minor's Compromise was set for hearing on March 30, 2026.

<u>Analysis</u>

The Minor's Compromise is unopposed.[1] The Court has considered the verified Minor's Compromise and finds the proposed terms to be just and reasonable.

Disposition

The Court finds and rules as follows:

1. The Minor's Compromise is APPROVED.
2. The Court shall enter the proposed forms of order lodged with the moving papers.

[1] Although no proof of service appears of record, it appears that no prior notice to other parties is mandatory. See CJER, *California Judges Benchbook: Civil Proceedings—Before Trial* (2025) ("CJER Civ. Pro.—Before Trial"), § 5.45 (observing that neither the Code of Civil Procedure nor the CRC contemplate a noticed motion for approval of a minor's compromise and concluding that a judge "may decide a petition to approve or disapprove a minor's compromise on an ex parte basis, in chambers"). In any event, no party has sought to appear to oppose the Minor's Compromise.

Discovery Law & Motion

17. 9:01 AM CASE NUMBER: C25-00917
CASE NAME: MENGJIAO REN VS. YONGKE YU
***HEARING ON MOTION FOR DISCOVERY COMPEL DEFENDANT CHUXIN YU'S FURTHER RESPONSES TO PLAINTIFF'S REQUESTS FOR ADMISSION, SET ONE**
FILED BY: REN, MENGJIAO
****TENTATIVE RULING:****

The Court, *sua sponte*, continues this matter to April 13, 2026, 9:00 am in Department 34. The Court shall issue the order.

18. 9:01 AM CASE NUMBER: C25-00917
CASE NAME: MENGJIAO REN VS. YONGKE YU
***HEARING ON MOTION FOR DISCOVERY COMPEL DEFENDANT CHUXIN YU'S FURTHER RESPONSES TO PLAINTIFF'S REQUESTS FOR PRODUCTION OF DOCUMENTS, SET ONE**
FILED BY: REN, MENGJIAO
****TENTATIVE RULING:****

The Court, *sua sponte*, continues this matter to April 13, 2026, 9:00 am in Department 34. The Court shall issue the order.

19. 9:01 AM CASE NUMBER: C25-00917
CASE NAME: MENGJIAO REN VS. YONGKE YU
***HEARING ON MOTION FOR DISCOVERY COMPEL DEFENDANT CHUXIN YU'S FURTHER RESPONSES TO PLAINTIFF'S SPECIAL INTERROGATORY, SET ONE**
FILED BY: REN, MENGJIAO
****TENTATIVE RULING:****

The Court, *sua sponte*, continues this matter to April 13, 2026, 9:00 am in Department 34. The Court shall issue the order.

Law & Motion
Add On

20. 9:00 AM CASE NUMBER: C24-00605
CASE NAME: VIKAS PRAKASH VS. WILSON AQUINO
HEARING ON SUMMARY MOTION
FILED BY: AQUINO, WILSON
TENTATIVE RULING:

Before the Court is a motion for summary judgment, or in the alternative summary adjudication filed by defendants and cross-complainants Wilson Aquino, Jaime Guevara, and Florencio Amezcua. For the reasons set forth, the Court rules as follows: (1) motion for summary judgment on all claims in the complaint – **DENIED**; (2) motion for summary adjudication of breach of contract cause of action in cross-complaint – **DENIED**; (3) motion for summary adjudication of 2nd, 3rd, 5th, 9th, 10th, 12th, 13th, 14th, 15th, 16th, 21st, 23rd, and 25th affirmative defenses in answer to cross-complaint – **GRANTED**; (4) motion for summary adjudication of 7th, 17th and 20th affirmative defenses in answer to cross-complaint – **DENIED**; (5) motion for summary adjudication of first, fifth, and sixth causes of action of the complaint – **DENIED**; (7) motion for summary adjudication of the second, third, and fourth causes of action of the complaint – **GRANTED**; and (8) motion for summary adjudication of claim for punitive damages in the complaint - **DENIED**.

Background

This action involves a dispute between plaintiff/cross-defendant Vikas Prakash (for convenience, "Mr. Prakash," "Plaintiff," or "Opposing Party") and defendants/cross-complainants Wilson Aquino, Jaime Guevara, and Florencio Amezcua (for convenience, "Aquino Parties," "Defendants," or "Moving Parties") over investment in and sale of a business and the interpretation of and performance under a Business Purchase Agreement ("BPA"). (Compl.; X-Compl. Exh. A.) The complaint includes six causes of action (labeled as "counts" but referred to in this ruling as causes of action) for fraud in the inducement (1st C/A), intentional misrepresentation (2nd C/A), concealment (3rd C/A), negligent misrepresentation (4th C/A), unjust enrichment (5th C/A), and declaratory relief (6th C/A). The cross-complaint alleges a cause of action for breach of contract (1st C/A) and for common counts for goods sold and delivered and money paid (2nd C/A).

Legal Standards Governing Summary Judgment and Summary Adjudication

Under Code of Civil Procedure section 437c(c), a motion for summary judgment "shall be granted if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law." (Code Civ. Proc. § 437c(c).) The Court of Appeal summarized the standards for granting summary judgment in *Advent, Inc. v. National Union Fire Ins. Co. of Pittsburgh, PA* (2016) 6 Cal.App.5th 443: " '[W]here the plaintiff has . . . moved for summary judgment . . . [it] has the burden of showing there is no defense to a cause of action. (Code Civ. Proc., § 437c, subd. (a).) That burden can be met if the plaintiff 'has proved each element of the cause of action entitling [it] to judgment on that cause of action.' (Code Civ. Proc., § 437c, subd. (p)(1).) If the plaintiff meets this burden, it is up to the defendant 'to show that a triable issue of one or more material facts exists as to that cause of action or a defense thereto.' (Code Civ. Proc., § 437c, subd. (p)(1).)" [Citation omitted.] (*Id.* at 453.)

A plaintiff as the moving party does not need to disprove the defendant's defenses; a plaintiff meets its burden of showing there is no defense to the claim if the plaintiff proves each element of the cause of action that would entitle plaintiff to judgment on that cause of action in its favor. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 849, 853; *Paramount Petroleum Corp. v. Superior Court* (2014) 227 Cal.App.4th 226, 241; *Oldcastle Precast, Inc. v. Lumbermens Mutual Casualty Co.* (2009) 170 Cal.App.4th 554, 564-565; Code Civ. Proc. § 437c(p)(1).) Where damages are an element of a cause of action subject to the complaint as they are in a breach of contract cause of action, a dispute of material fact on the issue of damages precludes the Court from granting summary adjudication of that cause of action. (*Paramount, supra,* 227 Cal.App.4th at 241 [disputed facts concerning damages on breach of contract claim precluded summary adjudication of that cause of action; the Court cannot grant summary judgment and determine the amount of damages later because damages are an essential element of the cause of action].) (*See also Dept. of Indus. Rel. v. UI Video Stores, Inc.* (1997) 55 Cal.App.4th 1084, 1090 [breach of contract claim where damages are unresolved precludes Court from granting summary judgment].)

When a defendant moves for summary judgment, the defendant bears the burden of producing evidence that plaintiff cannot prove one or more essential elements of plaintiff's claim or that there is a complete defense to the claim. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850; Code Civ. Proc. § 437c(p)(2).) Once the defendant meets this initial burden, the burden shifts to the plaintiff to produce admissible evidence showing that a triable issue of fact exists. (*Advent, Inc. v. National Union Fire Ins. Co. of Pittsburgh, PA, supra,* 6 Cal.App.5th at 453; Code Civ. Proc. § 437c(p)(2).)

Motions for summary adjudication under Code of Civil Procedure section 437c(f)(1) "are 'procedurally identical' to summary judgment motions.' [Citation.]" (*Duffey v. Tender Heart Home Care Agency, LLC* (2019) 31 Cal.App.5th 232, 240-241.) A motion for summary adjudication may be granted "if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty." (Code Civ. Proc. § 437c(f)(1).)

The issues to be considered on a motion for summary judgment or summary adjudication are defined by the pleadings. (*Doe v. Good Samaritan Hospital (*2018) 23 Cal.App.5th 653, 661; *Teselle v. McLoughlin* (2009) 173 Cal.App.4th 156, 161 ["The complaint measures the materiality of the facts tendered in a defendant's challenge to the plaintiff's cause of action."].) In deciding a motion for summary adjudication, the Court views the evidence in the light most favorable to the opposing party, drawing "all reasonable inferences in favor of that party. [Citations omitted.]" (*Weiss v. People ex rel. Dept. of Transportation* (2020) 9 Cal.5th 840, 864 ("*Weiss*").) Declarations and other evidence offered in support of the motion are strictly construed, while declarations and evidence offered in opposition to the motion are liberally construed. (*D'Amico v. Bd. of Medical Examiners* (1974) 11 Cal.3d 1, 20;

Johnson v. American Standard, Inc. (2008) 43 Cal.4th 56, 64.) " '[S]ummary judgment cannot be granted when the facts are susceptible to more than one reasonable inference . . . .' " (*Husman v. Toyota Motor Credit Corp.* (2017) 12 Cal.App.5th 1168, 1180.) "All doubts as to the propriety of granting the motion . . . are to be resolved in favor of the party opposing the motion." (*Cohen v. Five Brooks Stable* (2008) 159 Cal.App.4th 1476, 1483.)

Procedural Notes on the Papers

A. The Motion Improperly Moves for Summary Judgment for Two Actions in One Motion

"A party may move for summary judgment in an action or proceeding if it is contended that the action has no merit or that there is no defense to the action or proceeding," or "a party may move for summary adjudication as to one or more causes of action within an action." (Code Civ. Proc. § 437c(a)(1) and (f)(1) [emphasis added].) These references to "an action" in the summary judgment statute are singular references. The word "action" is defined as "an ordinary proceeding in a court of justice by which one party prosecutes another [. . .]." (Code Civ. Proc. § 22 [emphasis added].)

The complaint and the cross-complaint are legally two separate actions. " 'Where there are both a complaint and a cross-complaint there are actually two separate actions pending and the issues joined on the cross-complaint are completely severable from the issues under the original complaint and answer. [Citations.]' [Citation omitted.] ' "Where a cross-complaint is filed there are two simultaneous actions pending between the parties wherein each is at the same time both a plaintiff and a defendant." [Citation.]' [Citations omitted.]" (*Westamerica Bank v. MBG Industries, Inc.* (2007) 158 Cal.App.4th 109, 134.)

No authority, of which this Court is aware, permits a party to move for summary judgment/summary adjudication on a complaint as well as summary adjudication of claims made in a cross-complaint in a single motion under Code of Civil Procedure section 437c. Nevertheless, no objection to the motion on this ground was raised in the opposition, and the Court will address the motion for summary judgment/summary adjudication on the complaint and summary adjudication of the cross-complaint on the merits.

B. Reply Separate Statement Not Permitted

Code of Civil Procedure section 437c as amended effective January 1, 2025 states in relevant part, "The reply shall not include any new evidentiary matter, additional material facts, or separate statement submitted with the reply and not presented in the moving papers or opposing papers." (Code Civ. Proc. § 437c(b)(4) [emphasis added].) Even if Moving Parties' reply separate statement does not include additional material facts or new evidentiary matter, it includes extensive argument that, if considered, would violate the letter and spirit of the reply page limitations on a summary judgment motion. Further, Code of Civil Procedure section 437c, read as a whole, together with California Rule of Court, Rule 3.1350, do not indicate that argument, rather than facts and evidence, is properly included in a separate statement. The Court therefore does not consider the reply separate statement.

Party's Own Responses to Interrogatories Inadmissible and Do Not Raise Triable Issue

A number of Mr. Prakash's Responses to UMFs and AFs are supported by reference to Mr. Prakash's own responses to interrogatories, which are not admissible by statute. (Code Civ. Proc. § 2030.410

["At the trial <u>or any other hearing in the action</u>, so far as admissible under the rules of evidence, the propounding party or any party <u>other than the responding party</u> may use any answer or part of an answer to an interrogatory only against the responding party." (Emphasis added.); *Bayramoglu v. Nationstar Mortgage LLC* (2020) 51 Cal.App.5th 726, 740; *Great American Insurance Companies v. Gordon Trucking, Inc.* (2008) 165 Cal.App.4th 445, 450].) The Court therefore does not consider them if offered by Mr. Prakash to raise a triable issue. To the extent the responses to that discovery are offered or relied on by the Moving Parties, they can be considered.

The Court applies the same rule to interrogatory responses of Mr. Aquino, Mr. Guevara, and Mr. Amezcua when offered by the Moving Parties as evidence in support of their UMFs. (*See, e.g.,* UMF 51, 52, 54; Birkheimer Decl. Exhs. D-I.) Similarly, when Mr. Prakash submits responses to interrogatories by the Aquino Parties, the Court considers that evidence.

<u>Summary of the Motion and Relief Sought, and Matters Conceded by Opposition</u>

Moving Parties ask for summary judgment on all claims asserted in the Prakash complaint. (Mot. p. 2, ll. 4-6.) In the alternative, they seek summary adjudication of each of the causes of action of the complaint in Issues Five Through Ten and of Plaintiff's request for punitive damages (Issue Eleven). The motion is supported by the Aquino Parties' Separate Statement ("SS") of Undisputed Material Facts (UMFs") to which Opposing Party has filed a response also labeled "Separate Statement of Undisputed Material Facts" but by defendant/cross-complainant Mr. Prakash. For clarity, the Court refers to Mr. Prakash's separate statement as the "Response." The Response also includes additional facts ("AFs") A1-A28. Though the Response does not identify which issues the AFs are directed to, the Court will construe the AFs as being directed to all issues in the SS.

As an alternative to summary judgment on the complaint, the Moving Parties also alternatively seek summary adjudication of the first cause of action of their cross-complaint (Issue One), and summary adjudication of a series of affirmative defenses in Mr. Prakash's answer to the cross-complaint (Issues Two Through Four). Issue Two seeks summary adjudication of twelve affirmative defenses pled in Mr. Prakash's answer to the cross-complaint on the basis that Plaintiff in discovery failed to identify any facts or documents to support those defenses. Plaintiff in the opposition <u>concedes</u> that the following affirmative defenses are irrelevant to the action now. (Opp. p. 11, ll. 19-23.) Having conceded this point, summary adjudication may be properly **granted** as to the following affirmative defenses in the Mr. Prakash answer to the cross-complaint: **5th, 10th, 12th, 13th, 14th, 15th, 16th, 23rd, and 25th affirmative defenses**. (Code Civ. Proc. § 437c(f).) (Resp. to UMF 16, 19-24, 26, 27.)

In Issue Two, the Moving Parties also seek summary adjudication of the 7th, 9th, and 21st affirmative defenses of the Prakash answer to the cross-complaint. Those three affirmative defenses remain contested and will be addressed below. (Resp. to UMF 17, 18, 25.)

The Notice of Motion identifies as Issue Three that the Moving Parties are entitled to summary adjudication of the seventeenth and twentieth affirmative defenses in the answer to the cross-complaint. (Not. Mot. p. 2, ll. 14-15.) The SS, however, labels that issue as Issue Four. (SS p. 29, ll. 8-10.) Opposing Party has not objected to this procedural error (*see* Cal. R. Ct., Rule 3.1350(b)) and has responded to Issues Three and Four on the merits. The Court will address Issue Three as that identified in the notice of motion and motion.

Analysis

A. Issue One – Aquino Parties' Right to Summary Adjudication of Their First Cause of Action for Breach of Contract in Their Cross-Complaint

The essential elements of a cause of action for breach of contract are "(1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff. [Citations omitted.]" (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 821.) Issue One is based on UMFs 1-14. There is no dispute that Mr. Prakash, on one hand as buyer, and the Aquino Parties as sellers executed a Business Purchase Agreement ("BPA") on November 27, 2022, a copy of which is attached to the Birkheimer Declaration as Exhibit A-7. (UMF 1; Resp. to UMF 1 [undisputed].) Mr. Prakash also does not dispute that in January 2023, he made a payment of $150,000 toward the purchase of the shares pursuant to the BPA. (UMF 6; Resp. to UMF 6 [undisputed].) Mr. Prakash disputes the other UMFs in Issue One.

1. The Payment Terms of the BPA Are Ambiguous, but the BPA Is Not Reasonably Susceptible to Mr. Prakash's Interpretation

Section V of the BPA states unequivocally defines the Purchase Price as $300,000 for the business and the Aquino Parties' stock. Section VI "**Payment**" provides for "Terms of Payment" as follows:

a) 50% as an amount of $150,000 will be paid by Jan 16th, 2023. This agreement shall be null and void if payment is not received prior to or on January 16, 2023. If the contract is nullified, the Buyer agrees to increase the payment for the 40% stock shares to $432,000. In the event of a dispute arising from this clause, the Buyer agrees to cover all legal fees for both parties.

b) Remaining 50% as an amount of $150,000 needs to be paid by July 31st, 2023.

c) Further if the Buyer fails to do payment as per above mentioned terms, then Buyer will be charged a $5000 late fee every month. If the remaining amount of $150,000 is not paid in full by November 31st, 2023, the contract will be null and void. If the contract is nullified, the Buyer agrees to increase the payment for the 40% stock shares to $432,000, any payments made towards the purchase will be deducted from the new owed amount. In the event of a dispute arising from this clause, the Buyer agrees to cover all legal fees for both parties.

(Birkheimer Decl. Exh. A-7 [emphasis added].)

Moving Parties' own UMFs and memorandum highlight the ambiguity in the BPA provisions. (UMF 2 [BPA provided for $432,000 purchase price] versus UMF 3 [BPA provided for $300,000 purchase price if paid by July 2023, but this is contrary to Section V which defines the "Purchase Price" as $300,000]; MPA ISO Mot. p. 12, l. 28 – p. 13, l. 2 [arguing the parties "agreed on two different purchase prices: $300,000 and $432,000].) Moving Parties further argue that the parties "referenced each purchase price as a separate 'contract' or 'agreement.' " (MPA ISO Mot. p. 13, ll. 1-2 [emphasis added].) The argument again highlights the ambiguities in the BPA language.

Nothing in Section VI refers back to Section V or clearly changes the defined term "Purchase Price." The BPA has an integration clause. (Birkheimer Decl. Exh. A-7 [BPA Section XVIII [BPA "constitutes the entire understanding and agreement of the Parties relating to the subject matter hereof and supersedes any and all prior understandings, agreements, negotiations, and discussions, both written and oral, between the Parties hereto with respect to the subject matter hereof."].)

Mr. Prakash argues that he had the option to not make the payments, and if he failed to make the first or second payment then the entire BPA would be "null and void," with all parties essentially left in the same position they were in before the agreement was made. Mr. Prakash's interpretation, however, does not account for the language regarding the payment for the stock increasing to $432,000 if the payments were not made on time. His interpretation would essentially "write out" the provision regarding the $432,000 from Section VI; the language of the BPA, though ambiguous, is not reasonably susceptible to the interpretation advocated by Mr. Prakash, which is also not consistent with governing principles of contract interpretation. (Civ. Code § 1641 ["The whole of a contract is to be taken together, so as to give effect to every part, if reasonably practicable, each clause helping to interpret the other."].) (*See* Rulings on Evid. Obj. Nos. 13, 14 below.)

The Moving Parties contend the language of the BPA reasonably construed means that each of the two installment payment provisions is an "agreement" or "contract," that those installment provisions are null and void if the payment provided for is not timely made, and that the $432,000 is applicable in that event. This interpretation is a more reasonable interpretation that takes into account all of the language of Section VI and the BPA as a whole.

Mr. Prakash points to the declarations of Mr. Aquino, Mr. Guevara, and Mr. Amezcua filed in support of the motion explaining that the Aquino parties added the provisions to Section VI to address a payment default on the $300,000 Purchase Price, including the increase in the Purchase Price, the late fees, and the obligation by Mr. Prakash to pay all attorneys' fees if there is a dispute over the provisions. (AF A25 and supporting evidence; *see, e.g.*, Aquino Decl. ¶ 22 ["[I]f he was late making his payments, there would be a monthly late fee, and the total purchase price would be $432,000, not $300,000."].) Mr. Prakash argues the provisions are unconscionable and an unenforceable penalty.

The pleadings define the issues in a summary judgment. The Court does not consider the affirmative defenses of unconscionability and unlawful penalty not asserted in the Opposing Party's answer on the summary judgment motion. (*Doe, supra,* 23 Cal.App.5th at 661; *Teselle, supra,* 173 Cal.App.4th at 161.)

Except with respect to his objection to the provision for attorneys' fees, which are not addressed in the UMFs for Issue One and which did not need to be addressed for the Moving Parties to obtain judgment on the breach of contract claim, Mr. Prakash has not raised unconscionability or an unlawful penalty as an affirmative defense in his Answer, as the reply points out. (Reply p. 5, ll. 8-9.) Mr. Prakash has not moved for leave to amend his answer to assert these defenses.

The failure to plead unconscionability as an affirmative defense does not, however, prevent the Court from considering whether the provisions are unconscionable based on the Court's review of the BPA terms. (*See* Civ. Code § 1670.5(b) ["When it is claimed <u>or appears to the court</u> that the contract <u>or any clause thereof may be unconscionable</u> the parties shall be afforded a reasonable opportunity <u>to present evidence as to its commercial setting, purpose, and effect to aid the court in making the determination</u>." (Emphasis added.)].)

For the reasons stated below, the Court finds triable issues exist as to other elements of the breach of contract claim that preclude summary adjudication of the breach of contract cause of action in the cross-complaint. The Court also finds there are disputed, triable issues of fact relevant to the claim of unconscionability as shown by the evidence before the Court on the motion. Though the Moving Parties contend there is no procedural unconscionability because Mr. Prakash drafted the initial form of the BPA, it was the Moving Parties who drafted and added the provisions claimed to be unconscionable. (Aquino Decl. ¶ 22; Guevara Decl. ¶ 13; Amezcua Decl. ¶ 12; Prakash Decl. ¶ 14.) Moving Parties argue that the BPA provided for two alternative purchase prices and performance under the agreement, not a penalty, but Mr. Prakash argues in effect the terms are punitive provisions imposed on default and not reasonably related to damages from a late payment. There are conflicting inferences that can be drawn on the evidence on the commercial setting, purpose, and effect of the provisions (i.e., alternative purchase price, alternative performance or excessive penalty unconscionable or void under Civil Code section 1671) that are not properly resolved as a matter of law on this motion but should be addressed at trial.

2. Initial Burden and Triable Issues on Moving Parties' Performance (Delivery of Shares)

As to the second element, that the Moving Parties performed their obligations under the BPA, Moving Parties rely on UMF 5 as proof that the shares in VJW were transferred to Mr. Prakash. They contend that by "executing the [BPA], the Aquino Parties conveyed their cumulative 40% ownership share of" VJW. The evidence they cite does not support the proposition or prove that their shares were delivered, transferred or conveyed and therefore, that their performed their obligations under the BPA.

Moving Parties cite a page of the Mr. Prakash deposition transcript that is omitted from their exhibits (page 182). The BPA itself does not show that execution of the BPA on November 27, 2022 resulted in the transfer or delivery of the shares to Mr. Prakash. Neither the Guevara or Amezcua Declarations state that the shares were transferred or delivered upon execution of the BPA in the cited paragraphs; indeed, they do not address delivery or transfer at all, other than to say that those declarants eventually "agreed to sell" their shares to Mr. Prakash. (UMF 5 [citing Guevara Decl. ¶¶ 13, 14, and Amezcua Decl. ¶¶ 12, 13.)

Mr. Aquino states the following in his declaration: "It was my understanding that by signing the Business Purchase Agreement, Guevara, Amezcua and I were transferring our respective 10%, 10% and 20% of the business to Mr. Prakash. VJW had never issued share certificates so the Business Purchase Agreement was the way for us to make that transfer, as far as I knew." (UMF 5 [Aquino Decl. ¶ 23 (emphasis added)].) This evidence, coupled with the ambiguous terms of the BPA discussed below, is not sufficient to demonstrate that the shares were delivered or conveyed to Mr. Prakash.

The BPA is less than clear about when and if the shares being purchased would be delivered. The BPA defines VJW as the "Business" in Section II. Section III "**Acquirement**" states that Mr. Prakash as buyer "agrees to purchase a portion of the shares of stock equal to 40% of the outstanding shares." Section V "**Purchase Price**" states that Mr. Prakash "agrees to purchase the Business under the type of acquirement mentioned in Section III for $300,000.00 ("Purchase Price). The Purchase Price represents the total sum of money that is agreed to by the Parties for the transaction mentioned in this Agreement." (UMF 5 [Birkheimer Decl. Exh. A-7 (emphasis added)].)

Section VIII "**Closing Date**" states: "The closing shall occur on or before November 27, 2022 ("Closing Date") [date of execution of the BPA] at a time and location agreeable to the Parties. Section XI "**Delivery**" is most relevant to the share transfer. That provision states: "The delivery of the Business, along with any stock certificate, shall be transferred to Buyer at the Closing Date upon the funds being received by the Seller." (UMF 5 [Birkheimer Decl. Exh. A-7 (emphasis added)].)

Setting aside Mr. Prakash's contention that he had the right to not pay the second installment and void the agreement, the Moving Parties do not dispute that the BPA did not provide for a single payment, or for a payment of any funds on the Closing Date. Even under the Moving Parties' interpretation of the BPA, the Purchase Price was to be paid in two tranches of "funds" to the Aquino Parties, the first to be made by January 16, 2023, months after the "Closing Date," and the second of months after that in July 2023. (UMF 6, 7.) The BPA language is not reasonably susceptible to Aquino's "understanding" that delivery of the shares occurred on contract execution.

" 'The court generally may not consider extrinsic evidence of any prior agreement or contemporaneous oral agreement to vary or contradict the clear and unambiguous terms of a written, integrated contract. [Citations.] Extrinsic evidence is admissible, however, to interpret an agreement when a material term is ambiguous. [Citations.]' [Citation omitted.] We ascertain ' "the intent and scope of [an] agreement by focusing on the usual and ordinary meaning of the language used and the circumstances under which the agreement was made." ' [Citation omitted.] 'We consider the contract as a whole and interpret its language in context so as to give effect to each provision, rather than interpret contractual language in isolation. [Citation.]' [Citation omitted.] 'If contractual language is clear and explicit and does not involve an absurdity, the plain meaning governs. [Citation.]' [Citation omitted.]" (*Wind Dancer Production Group v. Walt Disney Pictures* (2017) 10 Cal. App. 5th 56, 69.)

Here, the language is not "clear and explicit." The language in Section XI could be construed to mean the shares would transfer when some of the funds (the first $150,000) were received by the Aquino Parties, or only when the "funds" (as in all funds) owed for the Purchase Price were received. The language is ambiguous as to the material term of Delivery in Section XI, but for the reasons stated, Aquino's interpretation is not a reasonable construction of the delivery term. As a result, Moving Parties did not meet their initial burden to prove the second element (performance by the Aquino Parties) for breach of contract based on the evidence presented in their initial moving papers, since the only evidence offered on their performance of their obligation to transfer the shares does not support that the shares were delivered Mr. Prakash when the contract was executed. They cite no other evidence that the shares were delivered on some other date. Even if the Moving Parties did meet their initial burden, the ambiguity in the Delivery provision (coupled with ambiguities in Section VI discussed below) and the lack of UMFs and supporting evidence in Issue One sufficient to demonstrate that the shares were in fact transferred, such that the Moving Parties performed their obligations under the BPA, raise triable issues that cannot be resolved as a matter of law.

3. Triable Issues on Damages Element

As to the damages element, Moving Parties take the position that they are entitled to recover the remainder of the unpaid purchase price for their shares in VJW, but they assert varying amounts of damages for the breach depending on which payment provisions of the BPA are enforceable.

(*Compare* UMFs 2 [the BPA contemplated Aquino Parties would convey their 40% total shares to Mr. Prakash for $432,000] and 8-11 [asserting $432,000-$150,000 plus $20,000 late fees and statutory 10% interest due] to UMF 3 [under the BPA if paid by July 2023, the purchase price was $300,000], and 12-14 ["using the discounted $300,000 contract price," then the amount due is $300,000-$150,000 plus $20,000 late fees plus statutory 10% interest].) Without considering the disputes Mr. Prakash raises as to whether any amount is due at all, the fact that there are multiple possible alternative damages amounts owed based on the terms of the BPA raises triable issues regarding damages that precludes summary adjudication of this issue. (*Paramount, supra,* 227 Cal.App.4th at 241 [disputed facts concerning damages on breach of contract claim precluded summary adjudication of that cause of action; the Court cannot grant summary judgment and determine the amount of damages later because damages are an essential element of the cause of action].) (*See also Dept. of Indus. Rel. v. UI Video Stores, Inc.* (1997) 55 Cal.App.4th 1084, 1090 [breach of contract claim where damages are unresolved precludes Court from granting summary judgment].) Indeed, it is not clear that in light of these UMFs, Moving Parties have met their initial burden on this Issue.

Even if Moving Parties met their initial burden, the parties clearly dispute whether the proper measure of damages can include the higher purchase price of $432,000 and the late charges. As to whether the provisions are unconscionable, which the Court can consider under Civil Code section 1670.5(b) as explained above, the Court finds that there are triable issues concerning the unconscionability of the damages provisions of the BPA that should be resolved by trial, not on summary judgment, given at a minimum reasonable, conflicting inferences as to whether the $432,000 and late payment subject to late charges were merely an alternative form of performance or an unenforceable penalty. (Civ. Code §§ 1670.5(b), 1671(b), and *see generally Grand Prospect Partners, LLC v. Ross Dress for Less, Inc.* (2015) 232 Cal.App.4th 1332.)

Based on the foregoing, summary adjudication of Issue One and the first cause of action of the cross-complaint is **DENIED.**

B. Issue Two – 7th, 9th, and 21st Affirmative Defenses

Moving Parties met their initial burden on the motion on these defenses by citing Mr. Prakash's supplemental responses to Form Interrogatory No. 15.1 as to those affirmative defenses. At the time of his responses, he indicated that he did not have supporting facts, but that discovery was ongoing. (UMF 17, 18, and 25 and supporting evidence.)

The Moving Parties contend in their reply that Mr. Prakash cannot "revive defenses he admitted he lacked evidence to support" in his discovery responses. (Reply p. 5, ll. 18-19.) That is not the law; a party may oppose a summary judgment motion with evidence not disclosed in response to a form interrogatory or other discovery because, unless otherwise stated in the response, the party only provides information available at the time of the response. A party is not under a duty to supplement a response to discovery, unless otherwise stated in the response, and an evidentiary sanction for nondisclosure can only be imposed under prescribed circumstances not present here. (*Biles v. Exxon Mobil Corp.* (2004) 124 Cal.App.4th 1315, 1328-1329; *Browne v. Turner Construction Co.* (2005) 127 Cal.App.4th 1334, 1349.) The failure to amend, outside of a violation of a court order requiring amendment, does not preclude the party from opposing a motion for summary judgment with new evidence. (*Biles, supra,* 124 Cal.App.4th at 1329 ["If a party who fails to amend or supplement interrogatory responses can be categorically precluded from offering undisclosed information in opposition to a later filed summary judgment motion, the need for a burden-shifting rule would be eliminated. In its place would be a rule that compels the granting of a motion for summary judgment based on factually void discovery responses, because any attempt to fill the void with new evidence would be precluded. Exxon cites no authority for such a rule."].)

The Moving Parties contend that even if Mr. Prakash can assert the defenses, Mr. Prakash has not cited competent evidence to support them. Mr. Prakash has raised factual issues concerning the enforceability of the attorneys' fees provision from the face of the BPA (7th affirmative defense) based on unconscionability. The provision imposes on Mr. Prakash alone liability for all parties attorneys' fees if <u>any</u> dispute arises over the (ambiguous) payment provisions, regardless of which party raises the dispute and/or which party prevails in the dispute. (Civ. Code § 1760.5(b).) (UMF 17.) The Court finds triable issues exist warranting determination at trial, not as a matter of law on this motion, so that the parties can present their respective evidence on the commercial setting, purpose, and effect of the attorneys' fees provision.

The 9th affirmative defense states that "the <u>cause of action</u> stated in the Cross-Complaint is ambiguous, unintelligible and uncertain. Accordingly, Cross-Complainants are barred from recovering against this answering Cross-Defendant for any such damages." (Ans. To X-Compl., 9th Aff. Def. [emphasis added].) While Mr. Prakash has raised disputed facts regarding the ambiguity of the <u>BPA</u>, as set forth above, that does not mean that the <u>cross-complaint</u> as pled is ambiguous or uncertain, nor has the Opposing Party cited facts or evidence to support this affirmative defense <u>as pled</u>. His Response to UMF 18 does not raise any triable issue regarding the actual affirmative defense he pled in his answer; an affirmative defense of "ambiguity" in relation to the BPA is outside the pleadings and cannot be asserted to raise a triable issue on summary judgment. (*Doe, supra,* 23 Cal.App.5th at 661; *Teselle, supra,* 173 Cal.App.4th at 161.)

The 21st affirmative defense states in relevant part that "this answering Cross-Defendant [i.e., <u>Mr. Prakash</u>] <u>suppressed no facts or representations which they were bound to disclose to Cross-Complainant</u>, and <u>[cross-defendant] gave no information or other facts to Cross-Complainant which were likely to mislead</u> Cross-Defendant for want of communication of said facts or representation." (Ans. To X-Compl., 21st AF [emphasis added].) The facts Mr. Prakash asserts in response to UMF 25, and his AFs, do not raise a genuine dispute of material fact regarding this affirmative defense. The defense as pled addresses the fact <u>Mr. Prakash</u> did not suppress facts or mislead the Aquino Parties as cross-complainants, not Mr. Prakash's claim that the Aquino Parties misled him.

For these reasons, the Court **DENIES** summary adjudication of Issue Two to the extent it pertains to Mr. Prakash's 7th affirmative defenses in his answer to the cross-complaint. The Court finds no triable issues of material fact and that the Aquino Parties are entitled to summary judgment as a matter of law as to Mr. Prakash's 9th and 21st affirmative defenses in his answer to the cross-complaint. The Court **GRANTS** summary adjudication of Issue Two as to the 9th and 21st affirmative defense of the answer to the cross-complaint**.**

C. <u>Issue Three – Mr. Prakash's 17th and 20th Affirmative Defenses to the Cross-Complaint</u>

The 17th affirmative defense in Mr. Prakash's answer to the cross-complaint is that "prior to commencement of this action, this answering Cross-Defendant duly performed, satisfied and discharged all duties and obligations that they may have owed to Cross-Complainants arising out of any and all agreements, representation, or contracts made by them or on behalf of this answering Cross-Defendant, and this action is therefore barred by California Civil Code Section 1473." (Ans. To X-Compl., 17th Aff. Def.) The 20th affirmative defense is similar, stating "This answering Cross-Defendant is informed and believes and upon that basis alleges that this answering Cross-Defendant have duly performed all of their contractual duties, if any, owed to Cross-Complainants, except for such duties as have been excused and/or prevented by the acts or omissions of Cross-Complainant." (Ans. To X-Compl., 17th Aff. Def.)

The factual and evidentiary support the Opposing Party offers for these affirmative defenses is his interpretation of the BPA by which he had the option or right to not make the second payment for the purchase of the stock and business called for in the BPA. (See Resp. to UMF 41-44, including undisputed claims made by Mr. Prakash in UMF 43, 44.) Despite the ambiguities in the language of the BPA, the construction of the terms of the BPA advocated by Mr. Prakash is not a reasonable interpretation of the language of Section VI, reading that section and the BPA as a whole for the reasons set forth above. Mr. Prakash's interpretation would give no effect to the provision for an increase in the amount to be paid to $432,000, rendering the language surplusage. The language of the BPA does not suggest Mr. Prakash had any "option" not to buy the business or shares once he entered into the agreement. The Court therefore finds the Response to UMF Nos. 41 and 42 do not raise genuine disputes material to disposition of these affirmative defenses.

However, Issue Three is also based on UMF 45, in which the Aquino Parties assert that Mr. Prakash failed to return to the Aquino Parties VJW's profits he received as 100% owner of the entity when he failed to complete the purchase. As set forth above, the delivery provision regarding the stock is ambiguous. Nothing in this UMF addresses whether or when the stock was delivered or transferred to Mr. Prakash or showing Mr. Prakash actually became 100% owner of the stock of VJW. The declaration evidence cited in support of UMF 45 only states that Mr. Prakash did not offer to return the profits from VJW from when he was 100% owner, but the underlying facts (that there were profits, and that Mr. Prakash actually became the 100% owner of the stock because the stock held by the Aquino Parties was delivered or transferred) are not established in the declarations and have been genuinely disputed by Mr. Prakash. (*See* UMF 45 [citing Aquino Decl. ¶ 45 [stock and profits]; Guevara Decl. ¶ 14 [does not want the stock back]; Amezcua Decl. ¶ 13 [same as Guevara].) Strictly construing the evidence in support of the motion as the Court must on summary judgment, it is not clear that the UMF is fully supported by the cited evidence. Even if it were, Mr. Prakash has raised genuine factual disputes by presenting evidence that VJW had no profits (and thus nothing to return to the Aquino Parties) at least for 2022, and as to whether under the BPA the Aquino Parties received back or retained their stock ownership in any event when the second payment was not made. (Resp. to UMF 45.)

Summary adjudication of Issue Three as to the 17th and 20th affirmative defenses of the answer to the cross-complaint is **DENIED**.

D. <u>Issue Four – Opposing Party's Waiver and Estoppel Affirmative Defenses</u>

The Moving Parties contend they are entitled to summary adjudication of Mr. Prakash's waiver (Ans. to X-Compl., 2nd Aff. Def.) and estoppel (Ans. to X-Compl., 3rd Aff. Def.) affirmative defenses "for the same reasons that defeat his fraud claims." (SS p. 23, ll. 24-26.) This formulation of the issue is not verbatim the formulation in the notice of motion (Not. Mot. p. 2, ll. 16-17), contrary to Rule 3.1350(b) of the California Rules of Court. Opposing Party did not object to this procedural violation, and the Court considers the issue on the merits.

UMFs 28-30, 35, 37, 38, and 40 are undisputed. Mr. Prakash admits his interrogatory responses stated his waiver and estoppel defenses are based on the alleged Expense Representations and Deficiency Representations. (UMF 28, Resp. to UMF 28.) He admits as undisputed that neither Mr. Guevara nor Amezcua made Deficiency Representations. (UMF 29, 30, Resp. to UMF 29, 30.) He admits neither Amezcua nor Aquino made the alleged Expense Representations and cites no evidence to dispute that Mr. Guevara also did not make the alleged Expense Representations, only arguing without evidence that "[w]hether Guevara <u>personally uttered a specific phrase</u> is not dispositive; triable issues include <u>collective</u> misrepresentation/concealment of expenses." The argument raises no triable issue of fact as it implicitly admits Mr. Guevara made no such Expense Representation and raises no basis for "collective" misrepresentation when he has admitted Amezcua and Aquino made no Expense Representations. (UMF 35-37, Resp. to UMF 35-37.) The argument about concealment is further undermined as to the Expense Representations because Mr. Prakash admits as undisputed that he knew the actual facts regarding the Expense Representation before he entered into the BPA. (UMF 40, Resp. to UMF 40.) Mr. Prakash does not present evidence to dispute UMF 39 (Resp. to UMF 39 citing complaint and Mr. Prakash interrogatory responses), and even Mr. Prakash's argument in response does not address the fact stated, which is that the Aquino Parties believed Robinson Oil was a legitimate fuel vendor until Mr. Prakash informed them otherwise.

Mr. Prakash raises no triable issue regarding UMF 32-34 and 39 related to Deficiency Representations as he cites only allegations of his complaint (not evidence) and his own interrogatory responses (not admitted when offered by the party responding to the interrogatories). Mr. Prakash has cited no contrary, admissible evidence to contest the UMF and supporting evidence that Mr. Prakash knew before he prepared the BPA that FedEx had threatened to terminate VJW because of the VEDR violations, that FedEx had notified Mr. Prakash there were unresolved violations. (UMF 32-34, Resp. to UMF 32-34 [citing only complaint and/or Mr. Prakash's interrogatory responses, not admissible as evidence when offered by the responding party].) The only UMF addressing the Deficiency Representations that asserts is "disputed" with a citation to evidence is UMF 31, but paragraph 22 of the Aquino Declaration cited by Mr. Prakash to support his dispute does not address the Deficiency Representation and the fact state in UMF 31.

Collectively, the UMFs demonstrate, without contrary evidence to raise a dispute, that either each of the Aquino Parties did not make the Expense Representations and/or Deficiency Representations and/or that Mr. Prakash had contrary information and did not or could not have reasonably have relied on the alleged Expense Representations and/or Deficiency Representations when he entered into the BPA. Opposing Party has not raised a triable issue of material fact as to Issue Four. Summary adjudication of Issue Four as to the second and third affirmative defenses in the answer to the cross-complaint is **GRANTED** in favor of the Aquino Parties.

E. <u>Issues Five to Eight – Legal Background to Fraud Causes of Action (Compl. 1st-4th C/As)</u>

In Issues Five through Eight, Moving Parties seek summary adjudication of the first through fourth causes of action of Mr. Prakash's complaint, each of which alleges some variation on fraud.

" 'The elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or "scienter"); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.' [Citation, internal quotations omitted.]" (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638.) Intentional misrepresentation is a form of fraud with the elements set forth above from *Lazar*, *supra,* 12 Cal.4th 631, 638.

" 'Fraud in the inducement is a subset of the tort of fraud. It "occurs when []the promisor knows what he is signing but his consent is induced by fraud, mutual assent is present and a contract is formed, which, by reason of the fraud, is voidable.[]" ' [Citations omitted.]") (*Dhital v. Nissan North America, Inc.* (2022) 84 Cal. App. 5th 828, 839 [holding "fraudulent inducement exception" applied and complaint stated a cause of action against vehicle manufacturer].) (*See also Lazar, supra,* 12 Cal.4th at 645 [addressing fraudulent inducement to enter into employment contract, stating "fraudulent inducement of contract--as the very phrase suggests--is not a context where the 'traditional separation of tort and contract law' [citations omitted] obtains. To the contrary, this area of the law traditionally has involved both contract and tort principles and procedures."].)

The elements of a claim for negligent misrepresentation are similar to intentional misrepresentation, but that claim "does not require intent to defraud but only the assertion, as a fact, of that which is not true, by one who has no reasonable ground for believing it to be true. [Citation omitted.]" (*Conroy v. Regents of University of California* (2009) 45 Cal.4th 1244, 1255 [citing *Small v. Fritz Companies, Inc.* (2003) 30 Cal.4th 167, 173-174].)

" 'Promissory fraud' is a subspecies of the action for fraud and deceit. A promise to do something necessarily implies the intention to perform; hence, where a promise is made without such intention, there is an implied misrepresentation of fact that may be actionable fraud. [Citation omitted.]" (*Lazar, supra,* 12 Cal.4th at 638.) "To maintain an action for deceit based on a false promise, one must specifically allege and prove, among other things, that the promisor did not intend to perform at the time he or she made the promise and that it was intended to deceive or induce the promisee to do or not do a particular thing. [Citations omitted.]" (*Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 159 [emphasis added].) Proof of subsequent nonperformance is not sufficient to support an inference of intent not to perform at the time the contract was made to state a claim for false promise. (*Tenzer v. Superscope* (1985) 39 Cal.3d 18, 30-31.)

Deceit can also consist of concealment or failure to disclose material facts. (*Lazar, supra,* 12 Cal.4th at 638; Civ. Code § 1710, subd. 3 [defining "deceit"].) "In transactions which do not involve fiduciary or confidential relations, a cause of action for non-disclosure of material facts may arise in at least three instances: (1) the defendant makes representations but does not disclose facts which materially qualify the facts disclosed, or which render his disclosure likely to mislead; (2) the facts are known or accessible only to defendant, and defendant knows they are not known to or reasonably discoverable by the plaintiff; (3) the defendant actively conceals discovery from the plaintiff." (*Bigler-Engler v. Berg, Inc*. (2017) 7 Cal.App.5th 276, 311.) "The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact to the plaintiff; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would not have acted as he or she did if he or she had known of the concealed or suppressed fact; and (5) plaintiff sustained damage as a result of the concealment or suppression of the fact. [Citation omitted.]" (*Graham v. Bank of America, N.A.* (2014) 226 Cal.App.4th 594, 606.) (*See also Bigler-Engler, supra,* 7 Cal.App.5th at 310-311.)

1. <u>Issue Five – Fraudulent Inducement (Promissory Fraud) (1st C/A)</u>

Moving Parties present UMFs 46-54 in support of their contention that they are entitled to summary adjudication of the first cause of action of the complaint for fraudulent inducement (promissory fraud). In the complaint, Mr. Prakash alleges three categories of what he contends are false representations. First, he alleges the Aquino Parties represented to him "that VJW would be capitalized with $890,000 for the purchase of the Assets, such that <u>each 10% [ownership interest] required a contribution of $89,000</u>," that each of them "would be contributing their pro rata investment capitalization for their shares of VJW, and would contribute time, effort, and skill to the operation of the business, and that "the corporation's capitalization would be organized with Vikas having a 50% ownership and contributing $445,000, Aquino having a 20% ownership and contributing $178,000, Guevara having a 10% ownership and contributing $89,000, Amezcua with a 10% ownership and contributing $89,000 ('False Capital Representation'). . . ." (Compl. ¶¶ 10, 11.)

Second, he alleges that Mr. Prakash and each of the Aquino Parties was assigned responsibility for various tasks associated with the operation of the business, including handling "fuel transactions for the VJW vehicles, package scanner operations, vehicle operations monitoring with the Video Equipment Data Recorder (VEDR), and issues which might arise with FedEx as transmitted by VEDR ('Partner Responsibility')." (Compl. ¶ 13.) He alleges that periodically between January and November 2022, Federal Express issued notices to VJW "of alleged deficiencies including instances where VJW vehicles had the VEDR covered up so as to effectively disable transmission of data and package scanners not functioning ('FedEx Deficiencies'), but that the Aquino Parties "represented to [Mr. Prakash] that they worked with FedEx and corrected the FedEx Deficiencies to FedEx's satisfaction prior to November 27, 2022 ('Deficiency Representations')." (Compl. ¶ 13.)

Third, Mr. Prakash alleges that the Aquino Parties "further represented to Plaintiff that expenses incurred were all properly used for the business operations of VJW, including the payment of fuel costs through Robinson Oil Company ('Expense Representations')." (Compl. ¶ 14.) Mr. Prakash incorporates all of these allegations into his first cause of action and asserts all three of the categories of alleged misrepresentations as the basis for his first fraud cause of action. (Compl. ¶¶ 19-26.) He alleges he was induced by the False Capital False Capital Representations to buy into VJW initially and then was induced by the false Deficiency Representations and Expense Representations to enter into the BPA to buy out the Aquino Parties' ownership interests in JFW. (Compl. ¶¶ 19-26.)

In their initial memorandum in support of summary adjudication of this cause of action, the Moving Parties seem to suggest that they can ignore the Deficiency Representations and Expense Representations in trying to obtain summary adjudication of this cause of action, as they are not "promises" and do not support a "promissory fraud" claim. (MPA ISO Mot. pp. 15-16 [addressing only the capital contributions].) The title of the cause of action, however, is "Fraudulent Inducement," though it also refers to promissory fraud, and the <u>contents of the allegations</u> which form the basis of the cause of action and which Moving Parties must attempt to defeat clearly assert claims that the Aquino Parties fraudulently induced Mr. Prakash to enter into the BPA to buy out their interests and to part with $300,000 in reliance on the Deficiency Representations and Expense Representations. (Compl. ¶¶ 13, 14, 15, 19, 23, 24.)

Summary adjudication can only be granted if it fully disposes of a cause of action. (Code Civ. Proc. § 437c(f).) Moving Parties' UMFs in support of Issue Five seeking summary adjudication of the first cause of action do not address the Deficiency Representations or the Expense Representations alleged and incorporated into this cause of action and which are part of the basis of this claim. They address only the capital contributions or amount paid by the Aquino Parties to acquire their aggregate 40% ownership interest in VJW. As a result, they have not met their initial burden on the motion as to Issue Five and the first cause of action of the complaint. The motion for summary adjudication of Issue Five as to the first cause of action of the complaint is **DENIED**. Having denied the motion for summary adjudication of one of the causes of action of the complaint, the motion for summary judgment on the complaint is also **DENIED.**

2. <u>Issue Six – Intentional Misrepresentation (2nd C/A)</u>

Moving Parties present UMFs 55-80 in support of their right to summary adjudication of the second cause of action for intentional misrepresentation. Some of the UMFs are listed as undisputed (UMFs 55, 65, 66, 77, 78). A number of the UMFs listed by Mr. Prakash as "disputed" cite only the complaint, which is not evidence, and Mr. Prakash's own responses to interrogatories, which cannot be used by the responding party under the authority cited above, such that the responses do not raise a triable issue of fact supported by evidence. (UMFs 68, 69, 70, 73, 74, 79, 80.) In his response to several other UMFs, Mr. Prakash only cites the evidence of the Moving Parties' declarations, in addition to the complaint (not evidence) and Mr. Prakash's interrogatory responses (not admissible evidence). (*See* UMFs 58, 60, 62, 63, 64, 67.) Mr. Prakash disputes UMFs 56, 57, 71, 72, 75, and 76 with citations to his own evidence.

Like the first cause of action, the second cause of action for intentional misrepresentation relies on the three categories of representations (Capital, Deficiency, and Expense). Moving Parties have included UMFs addressed to all of the categories of alleged representations.

(a) <u>Capital Representations Claim</u>

As to the Capital Representations, Mr. Prakash contends that he paid $445,000 for his 50% interest in VJW and that he relied on his understanding that the Aquino Parties would each pay a *pari passu* amount for their respective interests, such that for each 10% interest, the party would pay $89,000. (Compl. ¶¶ 10, 11.) Though Mr. Prakash characterizes the payments as "capital contributions," it is undisputed that the payments were made to Dhiraj Parkar, not VJW, such that they were not supplying capital to VJW. (UMF 55; Resp. to UMF 55.) (Dhiraj Parkar owned a separate company, JP&M or JPM, which operated the FedEx route delivery business to be taken over by VJW, with Mr. Prakash and the Aquino Parties as owners of VJW. Later references in this ruling will be to "Dhiraj" because of the similarity of his last name to that of Plaintiff Mr. Prakash for clarity's sake, and with no disrespect intended.) Ignoring the evidence offered by Moving Parties from the Moving Parties' responses to special interrogatories, the other evidence presented by Moving Parties shows that the Aquino Parties paid more than $89,000 per 10% and instead paid based on the unsigned "Addendum" figure of $1,080,000, with each paying $108,000 per 10% interest plus a $3,100 expense fee by Mr. Guevara and Amezcua. (Prakash Decl. ¶ 7, Exhs. A and B; UMF 57, 58 [Aquino Decl. ¶ 7 and Exh. K; Guevara Decl. ¶ 6 and Exh. L; Amezcua Decl. ¶ 5 and Exh. M]; Resp. to UMFs 57, 58.)

Mr. Guevara's and Mr. Amezcua's payment evidence shows their payments were made in December 2021 and January 2022. The evidence supporting the Guevara and Amezcua payments explains the amounts paid, and Mr. Prakash submits no evidence to contradict those facts. (UMF 58 and evid.) Mr. Aquino similarly declares he made multiple payments for the stock, supported by attached banking records he declares show the funds paid. (UMF 57.)

Notwithstanding declarations by these parties under penalty of perjury that their interest was purchased with multiple payments and checks, Mr. Prakash makes an argument that only the first of the multiple checks each party issued was "really" payment for the purchase price of the interest in VJW. (Resp. to UMFs 57, 58, and AF 5.) Other evidence Opposing Party relies on to raise a triable issue cited in AF 6 and Response to UMFs 57 and 58 is insufficient to support a reasonable inference that the second payments made by Mr. Guevara and Mr. Amezcua, which were made in January 2022 not May 2022, and the May 2022 payments by Aquino were related to an SBA loan application by a related business enterprise (Ballers LLC and InExpress franchises).

The cited evidence does not refer to any dates in which the SBA loan application for InExpress franchise #149 may have been prepared or pending so as to support Mr. Prakash's contention the payment timing in May 2022 was in any way connected to the SBA application. (Resp. to UMFs 57, 58 [citing Rooney Decl. Exhs. B, C, D, in which RFP No. 3 asks for documents "reflecting any applications to the Small Business Administration relating to any InExpress franchise," and the Response states in pertinent part: "Responding Party has conducted a diligent search and reasonable inquiry and <u>is producing herewith</u> all responsive, non-privileged documents in his possession, custody or controL The responsive SBA application was initiated, but never completed, in relation to InXpress franchise #149. The purchase of InXpress franchise #149 was never consummated. [¶] Responding party has conducted a diligent search and reasonable inquiry and is unable to comply with the request as it pertains to InXpress franchise #204 which is presently owned and operated by Ballers Group LLC, of which Responding Party is a member, because to Responding Party's knowledge, no SBA application was ever prepared or submitted in relation to InXpress franchise # 204 in connection with Responding Party's or Ballers Group LLC's ownership."].)

Ballers Group LLC was formed in 2020, the September 2020 APA concerns InExpress franchise #204 which did not seek an SBA loan according to the discovery responses attached and cited by Mr. Prakash, and the Ballers Group operating agreement was executed in July 2021. (Rooney Decl. Exh. E.) Mr. Prakash cites no other evidence to support his argument in the Response to UMF 57 that the Aquino Declaration attesting to his payments to Dhiraj for the interest in VJW with attached payment documents (Exh. K) were paid "<u>at the same time</u> an SBA loan was being sought." The fact that the check amounts from Aquino total $222,000 rather than $216,000 (based on a $1,080,000 APA purchase price) is consistent with other evidence that Mr. Guevara and Mr. Amezcua paid $108,000 each and an extra $3,100 for Dhiraj's expenses (so for a 20% purchased by Mr. Aquino, double their investment/stock interest, Mr. Aquino paid $6,000 for expenses). (UMF 59; Resp. to UMF 59 [undisputed re additional expense payments by Mr. Guevara and Mr. Amezcua].) Mr. Prakash's arguments that the second payments made by each of the Aquino Parties were not related to the purchase of VJW but might be related to a different business venture is speculation and conjecture, not a reasonable inference from any evidence he cites.

The undisputed evidence negates that the Capital Representations allegedly made to Mr. Prakash regarding the amount paid by the Aquino Parties for their ownership interests in VJW were false. Mr. Prakash's argument and speculation is not contrary evidence raising a triable issue.

(b) Expense Representations

Mr. Prakash alleges the Aquino Parties "represented to Plaintiff that expenses incurred were all properly used for the business operations of VJW, including the payment of fuel costs through Robinson Oil Company," and that he relied on the "truthful accounting" of the VJW fuel expenses by the Aquino Parties. (Compl. ¶ 14.) In UMFs 73 and 74, the Aquino Parties deny they told Mr. Prakash all fuel costs were properly used for VJW's business or that the Robinson Oil (fuel vendor) bills were correct, or that a former employee was authorized to use the gas card. Mr. Prakash "disputes" by essentially conceding that the "representations" he contends were made were not verbal statements but arose from "conduct and omissions" by the Aquino Parties in failing to "verify" the fuel vendor (Robinson) "billing/usage," not investigating "irregular charges," and not verifying authorization for use of the gas card. (Resp. to UMF 73 and 74.)

Mr. Prakash cites no admissible evidence to support his dispute of these UMFs. Resp. to UMF 73 and 74 [citing only complaint and his own (inadmissible) responses to interrogatories].) The undisputed evidence negates that the Aquino Parties made Expense Representations to Mr. Prakash, much less false representations with knowledge of their falsity. Mr. Prakash's dispute is an argument that his business partners were allegedly derelict or negligent in supervising the fuel expenses, the billings/charges, and users, not that they made knowing, false representations to him as alleged in the sixth cause of action of the complaint. (Compl. ¶¶ 14, 32-34.) The Aquino Parties have negated that they made false Expense Representations.

(c) Deficiency Representations

Mr. Prakash admits that neither Mr. Amezcua nor Mr. Guevara made any representations to him regarding the FedEx Deficiencies. (UMF Nos. 77, 78; Resp. to UMF Nos. 77, 78.) Moving Parties present many UMFs regarding Mr. Prakash's knowledge of problems with the title issues and other problems with the scanners necessary for VJW to make the FedEx deliveries, as well as the VEDR requirements for the FedEx contract compliance, and the SmartDrive system in which numerous alerts had been issued resulting in violations of the FedEx contract. (UMFs 61-72.) Moving Parties' supporting evidence includes email exchanges between Mr. Prakash and FedEx between October 17 and October 19, 2022 regarding VJW's noncompliance with the FedEx contract and reports showing its failure to satisfy four out of four metrics. (Birkheimer Decl. Evid. Tab 1, Exh. J.) Though Mr. Prakash cites several of these facts as disputed (Resp. to UMF 62-64, 67-72), and though Mr. Prakash contends that he did not know in October 2022 that there were still unresolved FedEx problems until he received the emails from FedEx in October 2022 threatening termination of the contract, and that Aquino was responsible for addressing the FedEx deficiencies, the responses do not dispute the fundamental fact that Mr. Prakash was aware there were numerous alerts and violations putting the FedEx contract at risk if they were not remedied.

UMF 69 states that Aquino never told Mr. Prakash all the deficiencies through November 27, 2022 had been resolved, and that Mr. Prakash knew as of that date that FedEx still claimed there were unresolved violations, supported by the Aquino Declaration and Moving Parties' Exhibit J, the October 17-19, 2022 email exchange with FedEx regarding the violations and FedEx threat to terminate the contract. (UMF 69.) Mr. Prakash again labels the UMF disputed but cites no contrary evidence to support his dispute. (Resp. to UMF 69.)

Nevertheless, despite all of his prior knowledge of the violations and risk of contract termination by FedEx, reflected in the emails from October 2022, Mr. Prakash testified at his deposition regarding a phone call he had with Aquino between November 25 and November 27, 2022 on the eve of executing the BPA. He testified that only he and Mr. Aquino were parties to the call and that Mr. Aquino allegedly represented to him that the deficiencies with FedEx had all been taken care of. (AP 9, citing Birkheimer Decl. Evid. Tab 1, Exh. A [Prakash DT 152:1-153:10].) Contrary to Moving Parties' characterization of the testimony (MPA ISO Mot., p. 18, ll. 17-24 and Reply p. 8, ll. 1-4), Mr. Prakash did not testify in that portion of his deposition that Mr. Aquino made a suggestion about future conduct that he "would" take care of the deficiencies. Mr. Prakash testified that Mr. Aquino made a representation of fact that the deficiencies had been corrected and said in response to Mr. Prakash's inquiry "we have taken care" of them. (Birkheimer Decl. Tab 1 Exh. A [Prakash DT 152:1-153:10.) (*See also* Prakash Decl. ¶ 12.) The Court cannot weigh the evidence or its credibility on summary judgment. Mr. Prakash has raised a triable issue of fact as to whether Aquino made false Deficiency Representations to him based on that evidence.

However, Moving Parties also include UMFs based on which they argue Mr. Prakash's reliance on Mr. Aquino's alleged Deficiency Representation was unreasonable or unjustifiable. They include a UMF that after Dhiraj went to India in May 2022, Mr. Prakash became the managing owner of VJW, but Mr. Prakash contests, arguing that he was the "primary operational point of contact with FedEx and handled day to day station operations," while decision-making was in "group chats" and Mr. Prakash relied on others performing responsibilities they assumed. (UMF 79; Resp. to UMF 79, citing admissible evidence of Birkheimer Decl. Evid. Tab 1 Exh. A [Prakash DT 81:12-82:11].) (*See also* AF 8, citing also Birkheimer Decl. Evid. Tab 1 Exh. A [Mr. Prakash DT 80:20-81:4 that Aquino took over the VEDR issues after Dhiraj went to India in May 2022].) The Moving Parties also point to the fact that Mr. Prakash at all times had access to communications regarding the FedEx deficiencies through the SmartDrive system, to which Mr. Prakash presents no admissible evidence to support his dispute. (UMF 70; Resp. to UMF 70 [citing inadmissible Prakash responses to interrogatories].)

" '[T]he reasonableness of the reliance is ordinarily a question of fact. [Citations.] However, whether a party's reliance was justified may be decided as a matter of law if reasonable minds can come to only one conclusion based on the facts. [Citation.]' [Citation omitted.] 'In determining whether one can reasonably or justifiably rely on an alleged misrepresentation, the knowledge, education and experience of the person claiming reliance must be considered. [Citations.]' [Citations omitted.]" (*Hasso v. Hapke* (2014) 227 Cal. App. 4th 107, 132 [emphasis added, quoting *Guido v. Koopman* (1991) 1 Cal.App.4th 837, 843].)

There is no dispute that Mr. Prakash was at least the 50% owner of VJW, and the other three shareholders all held minority stakes of 10% or 20%, such that Mr. Prakash had by far the largest financial stake and interest in the operational and financial well-being of the company. (Compl. ¶ 10; UMF 56.) The Court considers the context in which the alleged Deficiency Representation was made by Aquino according to Mr. Prakash. The context was that Mr. Prakash was going to buy out the ownership interests of all the minority shareholders and become the sole owner of the company.

The undisputed evidence shows that the FedEx contract was <u>fundamental</u> to the business and was subject to months of known violations and threats by FedEx to terminate based on those violations, as reflected in the October 17-19, 2022 email exchanges between Mr. Prakash and FedEx, in which Mr. Prakash requested and was provided by FedEx reports regarding the contract violations. (Birkheimer Decl. Evid. Tab 1 Exh. J.) As of November 25-27, 2022, when Mr. Prakash alleges Aquino made his Deficiency Representation on the eve of execution of the BPA, Aquino was on the <u>opposite side</u> of a business transaction, and the parties were negotiating the Aquino Parties' buyout and <u>separation</u> from Mr. Prakash and the business. Mr. Prakash highlights in his opposition the history of ongoing problems with compliance with the FedEx contract, the scanners and the alerts since June 2022. (Resp. to UMFs 61-64, 68, 71.) He highlights Mr. Aquino's alleged failures to address and resolve the issues such as the scanners, VEDR issues, and alerts which led to the October 17-19, 2022 email exchanges with FedEx to which Mr. Prakash was a party, including the reports by FedEx referenced in the email that VJW failed four out of four metrics under the contract. (Birkheimer Decl. Evid. Tab 1 Exh. J.)

The posture of the parties' relationship was essentially adversarial as of November 25-27, 2022. Mr. Prakash's knowledge of the history of what he asserts were repeated failures by Mr. Aquino to resolve the FedEx problems and the parties' impending buyout agreement to eliminate the Aquino Parties' ownership in VJW do not support that Mr. Prakash could reasonably rely on a representation by Aquino that suddenly, on the eve of entering into the BPA, Mr. Aquino had managed to fully resolve all the FedEx deficiencies. With Mr. Prakash's knowledge of the prior extensive violations of the FedEx contract and risk of termination of that contract, the most important asset of VJW, of which Mr. Prakash was about to become the sole owner, it was <u>manifestly unreasonable</u> for Mr. Prakash to rely on a representation by the adverse party in the buyout transaction as to whether the violations of the FedEx contract had been cured and were all resolved. This is particularly the case where Mr. Prakash as the majority owner and FedEx contact (*see* Exh. J) had sources readily available to independently verify the status of the deficiencies by communicating with FedEx and accessing SmartDrive to check on unresolved alerts. The facts support only one conclusion: any reliance by Mr. Prakash under the circumstances on Mr. Aquino's alleged Deficiency Representations was unreasonable and unjustifiable.

(d) <u>Conclusions as to Issue Six</u>

Moving Parties have demonstrated that neither Mr. Guevara nor Mr. Amezcua made knowingly false representations to Mr. Prakash as to the Capital Representations, the Expense Representations, or the Deficiency Representations. This negates the essential element of the existence of a false representation in the intentional misrepresentation cause of action as to those parties.

Moving Parties have also demonstrated that there are no triable issues of material fact that Aquino made no false Capital Representations and made no Expense Representations. To the extent that Aquino made any Deficiency Representations, the undisputed facts and evidence demonstrate there is no triable issue that Mr. Prakash could not have reasonably or justifiably relied on Mr. Aquino's alleged Deficiency Representation made between November 25 and 27, 2022 that all the Deficiency issues had been corrected.

Moving Parties have negated at least one essential element necessary for Mr. Prakash to make his intentional misrepresentation claim against to each of the Aquino Parties. They are entitled to judgment on the intentional misrepresentation cause of action as a matter of law. Summary adjudication of Issue Six on the second cause of action of the complaint for intentional misrepresentation is **GRANTED.**

3. Issue Seven – Concealment (3rd C/A)

Moving Parties present UMFs 81-104 (with no UMF 99) in support of their right to summary adjudication of the third cause of action for concealment. Moving Parties argue that the allegations of the complaint do not really state a claim for concealment but for intentional misrepresentations. Mr. Prakash alleges in the third cause of action is that the Aquino Parties made affirmative misrepresentations but concealed the "falsity" of their representations or concealed the "true" facts. (Compl. 38, 41, 45 [Aquino Parties acted with conscious disregard of Mr. Prakash's right "in making such" false representations].) The concealment Mr. Prakash alleges is essentially a failure to correct the three categories of alleged affirmative misrepresentations Mr. Prakash alleges were made. (UMF 81.) Mr. Prakash does not raise a genuine dispute of that fact or cite any admissible evidence to support his position. (Resp. to UMF 81.)

Moving Parties cite all the same UMFs in support of this Issue as they cited in support of Issue Six, with the exception of UMF 75, 76, 79 and 80. (UMFs 98-104 with no UMF 99 = UMFs 55-60; UMFs 86-97 = UMFs 61-72; UMF 82 = UMF 77, UMF 83 = UMF 78, UMF 84 = UMF 73, and UMF 85 = 74; it is not clear why the UMFs for Issue Seven were reordered and renumbered from Issue Six.) In his Response to UMFs 82-104, Mr. Prakash raises the same disputes with the same supporting argument and material as his responses to UMFs 55-74, 77 and 78. The Court does not find the omission of UMFs 75 and 76, which address the Aquino Parties' desire to and motivations for disassociating themselves with VJW, to be material to the disposition of the concealment claim. The omission of UMF 79, which addresses Mr. Prakash's role as managing owner, and UMF 80, regarding the Aquino Parties occasionally assisting Mr. Prakash, also does not mean that the grounds for summary adjudication of this cause of action have not been established for Issue Seven, for the same reasons they were established in Issue Six.

For the same reasons the Court concluded above regarding Issue Six that there are no triable issues of material fact and that the Moving Parties are entitled to judgment as a matter of law on the second cause of action, the Court concludes there are no triable issues of material fact regarding the third cause of action for concealment, and the Moving Parties are entitled to judgment on the concealment claim. The motion for summary adjudication of Issue Seven on the third cause of action of the complaint for concealment is **GRANTED**.

4. Issue Eight – Negligent Misrepresentation (4th C/A)

Moving Parties present UMFs 105-126 in support of their right to summary adjudication of the fourth cause of action for negligent misrepresentation. The negligent misrepresentation claim alleges the same three categories of misrepresentations as alleged in the first three causes of action. (Compl. ¶¶ 47-53.) Mr. Prakash adds that the Aquino Parties "had no reasonable basis to believe them to be true" as to the representations they allegedly made. (Compl. ¶¶ 47, 48, 50.)

Issue Eight includes the same UMFs as Issue Seven, but again inexplicably renumbers and reorders the UMFs. UMFs 105, 106 = UMFs 77, 78 and 82, 83; UMFs 107-112 = 55-60 and 98-104 (no 99); UMFs 113, 114 = 73, 74, and 84, 85; UMFs 115-126 = UMFs 61-72 and 86-97. UMFs 75, 76, 79, and 80 from Issue Six pertaining to the second cause of action are similarly omitted in support of Issue Eight. Mr. Prakash's responses to the UMFs that support this cause of action raise the same disputes with the same supporting argument and material as his Responses to UMFs 55-74, 77 and 78.

For the same reasons the Court concluded above regarding Issue Six that there are no triable issues of material fact and that the Moving Parties are entitled to judgment as a matter of law on the second cause of action, the Court concludes there are no triable issues of material fact regarding the fourth cause of action for negligent misrepresentation, and the Moving Parties are entitled to judgment on the negligent misrepresentation claim. The motion for summary adjudication of Issue Seven on the fourth cause of action of the complaint for negligent misrepresentation is **GRANTED**.

F. Issue Nine – Unjust Enrichment (5th C/A)

The decision *Durell v. Sharp Healthcare* (2010) 183 Cal.App.4th 1350 cited by Moving Parties explains that, despite its statement that California does not recognize "unjust enrichment" as a cause of action, the claim is one for restitution. "Unjust enrichment is synonymous with restitution. [Citation omitted.] [¶] 'There are several potential bases for a cause of action seeking restitution. For example, restitution may be awarded in lieu of breach of contract damages when the parties had an express contract, but it was procured by fraud or is unenforceable or ineffective for some reason. [Citations.] Alternatively, restitution may be awarded where the defendant obtained a benefit from the plaintiff by fraud, duress, conversion, or similar conduct. In such cases, the plaintiff may choose not to sue in tort, but instead to seek restitution on a quasi-contract theory . . . . [Citations.] In such cases, where appropriate, the law will imply a contract (or rather, a quasi-contract), without regard to the parties' intent, in order to avoid unjust enrichment.' [Citation omitted.]" (*Id.* at 1370 [emphasis added, quoting *McBride v. Boughton* (2004) 123 Cal.App.4th 379, 388].)

The decision suggests the label "unjust enrichment" may be wrong under that decision, but the term is "synonymous" with restitution which may be based on various equitable theories of recovery. (*But see* apparent split of authority as to existence of "unjust enrichment" cause of action as Durell relies on *Melchior v. New Line Productions, Inc.* (2003) 106 Cal.App.4th 779, 793 ["as the trial court observed, there is no cause of action in California for unjust enrichment"], and *Prakashpalan v. Engstrom, Lipscomb & Lack* (2014) 223 Cal.App.4th 1105, 1132 [addressing unjust enrichment claim and setting forth elements of the cause of action], and *Hirsch v. Bank of America* (2003) 107 Cal.App.4th 708, 717 [same].) Given the split of authority, the Court is not persuaded that the Aquino Parties are entitled to summary adjudication of the unjust enrichment cause of action and that it should be dismissed solely based on their argument that it is not a recognized cause of action.

The authorities Moving Parties cite for the proposition that the unjust enrichment claim should be dismissed as a claim duplicative of the fraud claims are not persuasive. First, the decision *Broadway Victoria, LLC, v. Normington, Witta & Fusta* (2017) 10 Cal.App.5th 1185, which Moving Parties cite in both the moving and reply papers was ordered **depublished** by the California Supreme Court and is not citable precedent. (*Broadway Victoria, LLC, v. Normington, Witta & Fusta* (July 26, 2027) 2017

Cal. LEXIS 5900 *1 [denying petition for review and ordering decision not to be published].) Second, *Careau & Co. v. Security Pacific Business Credit, Inc.* (1990) 222 Cal.App.3d 1371 involved claims for breach of contract and breach of the implied covenant of good faith and fair dealing, not a claim for unjust enrichment or restitution, and it is not clear that its . includes a statement addressing a cause of action for breach of the implied covenant of good faith and fair dealing and breach of contract cause of action: "If the allegations do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated." (*Id*. at 1395.) The Court ultimately reversed and remanded in part to allow the parties to attempt to allege additional facts to support their breach of the implied covenant cause of action.

Moving Parties' sole UMF in support of their motion for summary adjudication of the unjust enrichment cause of action asserts that the unjust enrichment cause of action "relies on the same alleged facts and seeks the same relief as his fraud claims." (UMF 127.) Mr. Prakash purports to dispute that fact by arguing the unjust enrichment claim is based on "both the fraud based claims and the contract based BPA claims," citing the same two paragraphs of the complaint as the Moving Parties. (Resp. to UMF 127.) Though Mr. Prakash alleges an agreement for the buyout of the Aquino Parties' ownership interest in VJW in November 2022 (Compl. ¶ 15), Plaintiff does not allege any "contract based BPA claims"; the only place the "Business Purchase Agreement" is even mentioned is in paragraph 1 of the complaint.

Paragraph 54 incorporates all prior allegations. Read as a whole with the preceding allegations, the complaint does include allegations as to why he contends he was defrauded into buying his initial 50% ownership interest and then into agreeing to buyout the Aquino Parties' interests in VJW and why he contends he unfairly paid sums which he should be entitled to get back on equitable grounds. Paragraph 55 alleges Mr. Prakash's initial $445,000 investment, his entering into the buyout agreement for $300,000, and his payment of $150,000 toward the buyout, and that the sum of his two payments ($445,000 and $150,000) "is the amount that represents an unjust windfall to" the Aquino Parties. (Compl. ¶ 55.) In addition to asking for recovery of that sum, he seeks relief from "any further obligation under" the buyout. (Compl. ¶ 55.)

Moving Party has not presented facts or law in support of Issue Nine that the allegations of the complaint through paragraphs 54 and 55 do not support a claim for restitution as described in the *Durell* decision above. Moving Parties do not cite facts and evidence in support of Issue Nine that demonstrate there are no triable issues as to any facts material to whether Mr. Prakash may be entitled to restitution under the grounds described in *Durell*. The Court is also not persuaded that the Moving Parties have demonstrated that the cause of action is simply superfluous and should be summarily adjudicated for Moving Parties on that ground. For all these reasons, the motion for summary adjudication of Issue Nine that there are no triable issues of material fact and the Moving Parties are entitled to judgment in their favor on the fifth cause of action of the complaint for unjust enrichment is **DENIED.**

G. <u>Issue Ten – Declaratory Relief (6th C/A)</u>

The cause of action for declaratory relief cites the actual controversies between the parties and seeks a judicial declaration as to whether Mr. Prakash is entitled to "the return of the Initial Investment of

$445,000" from the Aquino Parties, and "the return of the Buyout initial payment of $150,000" from the Aquino Parties, and whether the Aquino Parties "are entitled to be paid the balance of the Buyout of $150,0000 from Plaintiff." (Compl. ¶ 56.) Three of the UMFs in support of this Issue merely recite what the declaratory relief claim seeks, as summarized above (UMF 128), and recite that Mr. Prakash's claimed right to return of his $445,000 investment is subject to his fraud claims (UMF 129), and the Aquino Parties' right to the <u>second payment of $150,000</u> is subject to the cross-complaint (UMF 151). These UMFs are undisputed. Moving Parties also state that Mr. Prakash's right to return of the $150,000 is also subject to both his fraud claims and the Aquino Parties' cross-complaint. (UMF 130.) Mr. Prakash disputes UMF 130, but only on the basis that he is claiming the right to return of the $150,000 also based on his interpretation of the BPA, which the Court has rejected as unreasonable in addressing the first cause of action.

While the UMFs in support of this Issue may be essentially undisputed, Moving Parties have not shown that they are "entitled to a favorable declaration" so as to entitle them to a declaration in their favor on each of the three controversies subject to the declaratory relief cause of action. (*Maguire v. Hibernia S. & L. Soc.* (1944) 23 Cal.2d 719, 723.) The Aquino Parties' right to <u>$150,000</u> as the second payment under the BPA is not what they allege in the cross-complaint; they allege they are entitled to $302,000 as damages in the cross-complaint, and the Court has concluded that they did not meet their initial burden and/or there are triable issues pertaining to their breach of contract claim in Issue One. The Court has ruled that they did not meet their initial burden on the motion as to the first cause of action of the complaint by Mr. Prakash for fraud. As the breach of contract cause of action in the cross-complaint and fraud cause of action in the complaint must be tried, Moving Parties have not demonstrated they are entitled to a declaration of rights in their favor on the sixth cause of action for declaratory relief. The motion for summary adjudication of Issue Ten for declaratory judgment in favor of the Aquino Parties on the sixth cause of action of the complaint is **DENIED**.

H. <u>Issue Eleven – Summary Adjudication of Claim/Prayer for Punitive Damages</u>

Moving Parties failed to meet their initial burden to obtain summary adjudication of the first cause of action for fraudulent inducement (promissory fraud), and the Court has denied summary adjudication of that cause of action on that ground. Under Civil Code section 3294, punitive damages may be awarded in "an action for the breach of an obligation not arising from contract" where Plaintiff proves the "defendant has been guilty of oppression, fraud, <u>or</u> malice." (Civ. Code § 3294(a) [emphasis added].) Fraud is defined as "an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury." (Civ. Code § 3294(c)(3).)

The statute is written in the disjunctive, such that proof of fraud is sufficient to impose punitive damages. (Allegations sufficient to support a claim for fraud based on concealment can support a claim for punitive damages. (*Stevens v. Superior Court* (1986) 180 Cal.App.3d 605, 610 [the "pleading of fraud" is sufficient to state a claim for punitive damages, without allegations "that the fraud was motivated by the malicious desire to inflict injury"]; *Las Palmas Associates v. Las Palmas Center Associates* (1991) 235 Cal.App.3d 1220, 1238-1239 [fraud alone sufficient for punitive damages].)

Moving Parties' reply asserts that Mr. Prakash has not shown triable issues on any of the fraud claims, and therefore the claim for punitive damages can be summarily adjudicated in their favor under Code of Civil Procedure section 437c(f). (Reply p. 10, ll. 15-19.) Moving Parties have not demonstrated that there are no triable issues of material fact and that they are entitled to summary adjudication of the first cause of action for fraudulent inducement (promissory fraud). As the first cause of action for fraud stands, they are not entitled to summary adjudication in their favor of the claim for punitive damages. The motion for summary adjudication of Issue Eleven is **DENIED.**

Moving Parties' Evidentiary Objections to Opposing Party Evidence

Pursuant to Code of Civil Procedure section 437c(q), the Court only rules on those evidentiary objections that are material to the Court's ruling. The Court rules on the objections to the Prakash Declaration.

Obj. No. 1 - **Overruled.**

Obj. Nos. 2, 3 – **Sustained.** As to Obj. 3, *see also* Evid. Code §§ 1521, 1523.

Obj. No. 5 – **Sustained in part** as to second sentence only.

Obj. Nos. 13, 14 – **Sustained**. The BPA is an integrated document, but the Court has found the language ambiguous. In making its ruling, including sustaining the parol evidence objection in Objection Nos. 13 and 14 to the Prakash Declaration, the Court has reviewed and considered the parol evidence offered by Prakash concerning his negotiations with the Aquino Parties over the provisions Aquino added to the draft BPA in paragraph 14 of the Prakash Declaration pursuant to the two-step process under the case law. "Parol or extrinsic evidence is admissible to resolve an ambiguity. [Citations omitted.] In such cases, the court engages in a two-step process: 'First, the court provisionally receives (without actually admitting) all credible evidence concerning the parties' intentions to determine "ambiguity," i.e., whether the language is "reasonably susceptible" to the interpretation urged by a party. If in light of the extrinsic evidence the court decides the language is "reasonably susceptible" to the interpretation urged, the extrinsic evidence is then admitted to aid in the second step--interpreting the contract.' [Citation omitted.]" (*WYDA Associates v. Merner* (1996) 42 Cal. App. 4th 1702, 1710 [emphasis added].) (*See also Casa Herrera, Inc. v. Beydoun* (2004) 32 Cal.4th 336 ["The parol evidence rule is codified in Civil Code section 1625 and Code of Civil Procedure section 1856. [Citation omitted.] It 'generally prohibits the introduction of any extrinsic evidence, whether oral or written, to vary, alter or add to the terms of an integrated written instrument.' [Citation omitted.] The rule does not, however, prohibit the introduction of extrinsic evidence 'to explain the meaning of a written contract . . . [if] the meaning urged is one to which the written contract terms are reasonably susceptible.' [Citation omitted.] [¶] Although the rule results in the exclusion of evidence, it 'is not a rule of evidence *but is one of substantive law.*' [Citation omitted, italics in original, underscoring added].) The Court concluded above the extrinsic evidence offered in the Prakash Declaration to explain the ambiguity in the BPA urges a meaning of the written contract terms to which the terms are not reasonably susceptible. The Court therefore excludes this evidence under the parol evidence rule.